

# 2024

## Annual Report

Federal Financial  
Supervisory Authority



**BaFin**

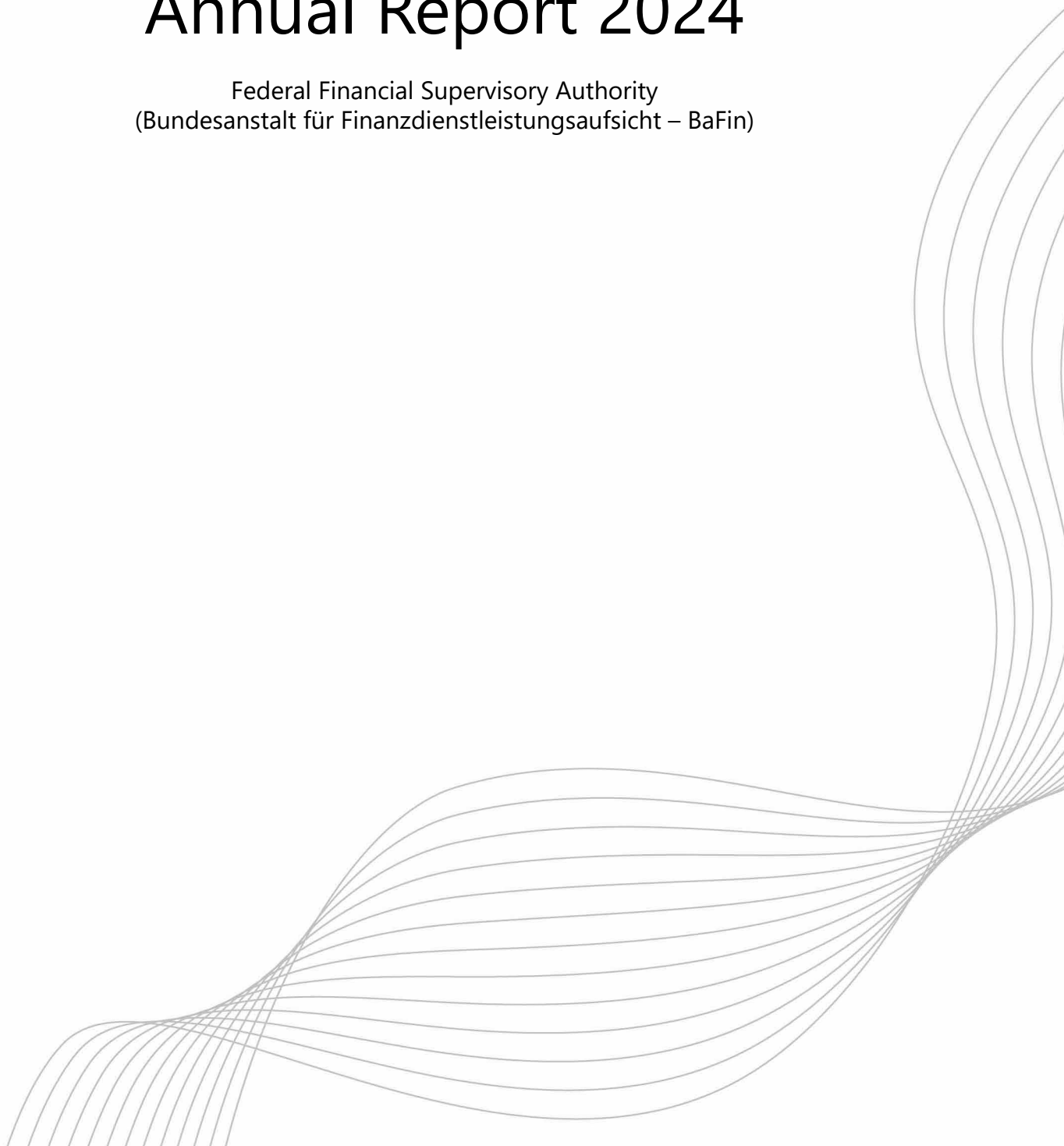
Bundesanstalt für  
Finanzdienstleistungsaufsicht





# Annual Report 2024

Federal Financial Supervisory Authority  
(Bundesanstalt für Finanzdienstleistungsaufsicht – BaFin)



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# Foreword



The year 2024 was marked by geopolitical tensions, political uncertainty and weakening economic performance in Germany.

How did BaFin deal with this situation and the resulting risks? What issues did we focus on in 2024? And what priorities did we set? Answers to these questions can be found in this Annual Report.

The following pages illustrate how, over the past year, our almost 3,000 employees have worked in a variety of ways to safeguard the functioning, integrity and stability of the financial system – ensuring a system in which companies and consumers alike can place their trust.

In 2024, we worked hard to make our supervisory requirements for credit institutions more proportionate in order to reduce the administrative burden on small institutions. In November, we published a supervisory statement setting out the leeway that small credit institutions have in designing their risk management systems. In this supervisory statement, we also introduced some simplifications. This is likely to benefit around three quarters of German credit institutions.

In 2024, we also worked to reduce complexity in regulation and submitted relevant proposals to policymakers. We will likewise address concrete proposals to the incoming Federal Government on how we can reduce complexity in Germany and Europe and achieve greater proportionality in financial market supervision and regulation.

Over the past year, there have been considerable changes within BaFin too. On 1 January 2024, mathematician and actuary Julia Wiens took over as Chief Executive Director of Insurance and Pension Funds Supervision at BaFin. In December 2024, we announced that Raimund Röseler, Chief Executive Director of Banking Supervision, would be retiring at the end of March 2025. His successor, Nikolas Speer, joined BaFin on 1 April 2025.

2025 also brings a number of uncertainties for the financial sector. The geopolitical situation appears unstable and economic development remains sluggish. At the same time, the digital transformation of the financial sector is rapidly advancing. We will continue our work to ensure that bank customers, insurance policyholders and investors can continue to trust the German financial system.

Mark Branson

BaFin President, May 2025

# Key figures at a glance

| Credit institutions       | Total assets<br>(€ billion) |              | Return on equity<br>(%) |            | LCR<br>(%) |            | CET1 ratio<br>(%) |             |
|---------------------------|-----------------------------|--------------|-------------------------|------------|------------|------------|-------------------|-------------|
|                           | 2024                        | 2023         | 2024                    | 2023       | 2024       | 2023       | 2024              | 2023        |
| <b>All banking groups</b> | <b>9,348</b>                | <b>9,002</b> | <b>5.8</b>              | <b>4.5</b> | <b>167</b> | <b>169</b> | <b>17.4</b>       | <b>17.1</b> |
| SIIs                      | 5,687                       | 5,380        | 6.4                     | 6.5        | 151        | 160        | 17.0              | 17.0        |
| LSIs                      | 3,179                       | 3,148        | 5.7                     | 2.9        | 192        | 181        | 17.0              | 16.0        |
| Savings banks             | 1,428                       | 1,401        | 5.5                     | 1.7        | 197        | 184        | 17.0              | 16.0        |
| Cooperative banks         | 1,119                       | 1,097        | 4.3                     | 2.0        | 180        | 170        | 16.3              | 15.6        |

Source: Supervisory reporting system, own calculations by the Bundesbank and BaFin

| Institutions under German supervision                |       |
|------------------------------------------------------|-------|
| Credit institutions                                  | 1,292 |
| CRR credit institutions*+                            | 1,179 |
| of which SIIs++                                      | 51    |
| of which LSIs**+                                     | 1,126 |
| Other credit institutions***                         | 41    |
| of which development banks+                          | 16    |
| Housing enterprises with savings schemes+            | 47    |
| Third-country branches+                              | 25    |
| Payment institutions and e-money institutions+       | 83    |
| Investment institutions++                            | 707   |
| Financial services institutions****                  | 392   |
| of which finance leasing and factoring institutions+ | 361   |
| Credit services institutions+                        | 25    |
| Institutions supervised by BaFin                     | 2,500 |

\* Two of these CRR credit institutions were neither significant institutions (SIIs) nor less significant institutions (LSIs). CRR stands for the European Capital Requirements Regulation.

\*\* Three of these credit institutions provide financial market infrastructures and are therefore supervised by BaFin's Securities Supervision/Asset Management units.

\*\*\* Including KfW. One of these credit institutions is supervised by BaFin's Securities Supervision/Asset Management units.

\*\*\*\* Including finance leasing and factoring institutions, crypto custodians, crypto assets service providers, crypto securities registrars and other institutions.

+ Supervised by BaFin's Banking Supervision units.

++ Supervised by BaFin's Securities Supervision/Asset Management units.

+++ Supervised by the ECB.

Source: BaFin



## Insurance undertakings and pension funds

|                            | Number of undertakings supervised | Gross premiums written (€ billion) |       |                         | Investments (€ billion) <sup>2), 3)</sup> |         |                         | Solvency coverage (%) |       |                         |
|----------------------------|-----------------------------------|------------------------------------|-------|-------------------------|-------------------------------------------|---------|-------------------------|-----------------------|-------|-------------------------|
|                            |                                   | 2024 <sup>1)</sup>                 | 2023  | Change year-on-year (%) | 2024 <sup>1)</sup>                        | 2023    | Change year-on-year (%) | 2024 <sup>1)</sup>    | 2023  | Change year-on-year (%) |
| Life insurers              | 78                                | 89.6                               | 87.0  | 3.0                     | 1,012.4                                   | 1,022.9 | -1.0                    | 291.0                 | 484.6 | -40.0                   |
| Property/casualty insurers | 199                               | 115.2                              | 100.7 | 14.4                    | 241.2                                     | 212.7   | 13.4                    | 277.7                 | 279.6 | -0.7                    |
| Private health insurers    | 44                                | 50.4                               | 48.4  | 4.1                     | 378.3                                     | 359.6   | 5.2                     | 388.5                 | 436.6 | -11.0                   |
| <i>Pensionskassen</i>      | 124                               | 6.3                                | 6.4   | -1.6                    | 211.0                                     | 206.1   | 2.4                     | 152.1                 | 147.5 | 3.1                     |
| <i>Pensionsfonds</i>       | 35                                | 1.6                                | 3.6   | -55.6                   | 58.9                                      | 58.7    | 0.3                     | 189.0                 | 189.5 | -0.3                    |

1) Preliminary data based on interim reports and forecasts.

2) Carrying amounts in accordance with the German Commercial Code (*Handelsgesetzbuch*).

3) In the case of life insurers including unit-linked pension business.

Source: BaFin

| Capital market companies <sup>1), 3), 4)</sup>                                                | 2024    | 2023    |
|-----------------------------------------------------------------------------------------------|---------|---------|
| Supervised investment firms                                                                   | 707     | 720     |
| of which: large investment firms <sup>4)</sup>                                                | 1       | 1       |
| of which: medium-sized investment firms <sup>5)</sup>                                         | 117     | 112     |
| of which: small investment firms <sup>6)</sup>                                                | 589     | 607     |
| Branches                                                                                      | 41      | 42      |
| German investment firms that have issued notifications of cross-border activity within the EU | 354     | 364     |
| Tied agents                                                                                   | 17,378  | 18,449  |
| Liable undertakings                                                                           | 146     | 152     |
| German asset managers with authorisation <sup>2)</sup>                                        | 142     | 144     |
| Registered German asset managers <sup>2)</sup>                                                | 556     | 540     |
| Investment funds <sup>2)</sup>                                                                | 6,537   | 6,602   |
| assets under management (€ billion)                                                           | 2,847.0 | 2,688.9 |

1) Data comparability between different periods is limited due to the change in the data collection method made during the period under review.

2) The term "asset manager" (*Kapitalverwaltungsgesellschaft*) was only defined in 2013, when the German Investment Act (*Investmentgesetz*) expired and section 17 of the German Investment Code (*Kapitalanlagegesetzbuch*) came into force.

3) See [Chapter II.3](#) for the number of undertakings under supervision.

4) A large investment firm within the meaning of section 2 (18) of the German Investment Firm Act (*Wertpapierinstitutsgesetz*) is an investment firm (i.e. an undertaking that provides investment services, either alone or in combination with ancillary investment services or ancillary services, commercially or on a scale that requires business operations to be organised along commercial lines) that is required by Article 1(2) of Regulation (EU) 2019/2033 or due to an authorisation granted under Article 1(5) of Regulation (EU) 2019/2033 or under section 8 of the Investment Firm Act to apply Regulation (EU) 575/2013.

5) A medium-sized investment firm within the meaning of section 2 (17) of the Investment Firm Act is an investment firm that does not meet the conditions set out in Article 12(1) of Regulation (EU) 2019/2033.

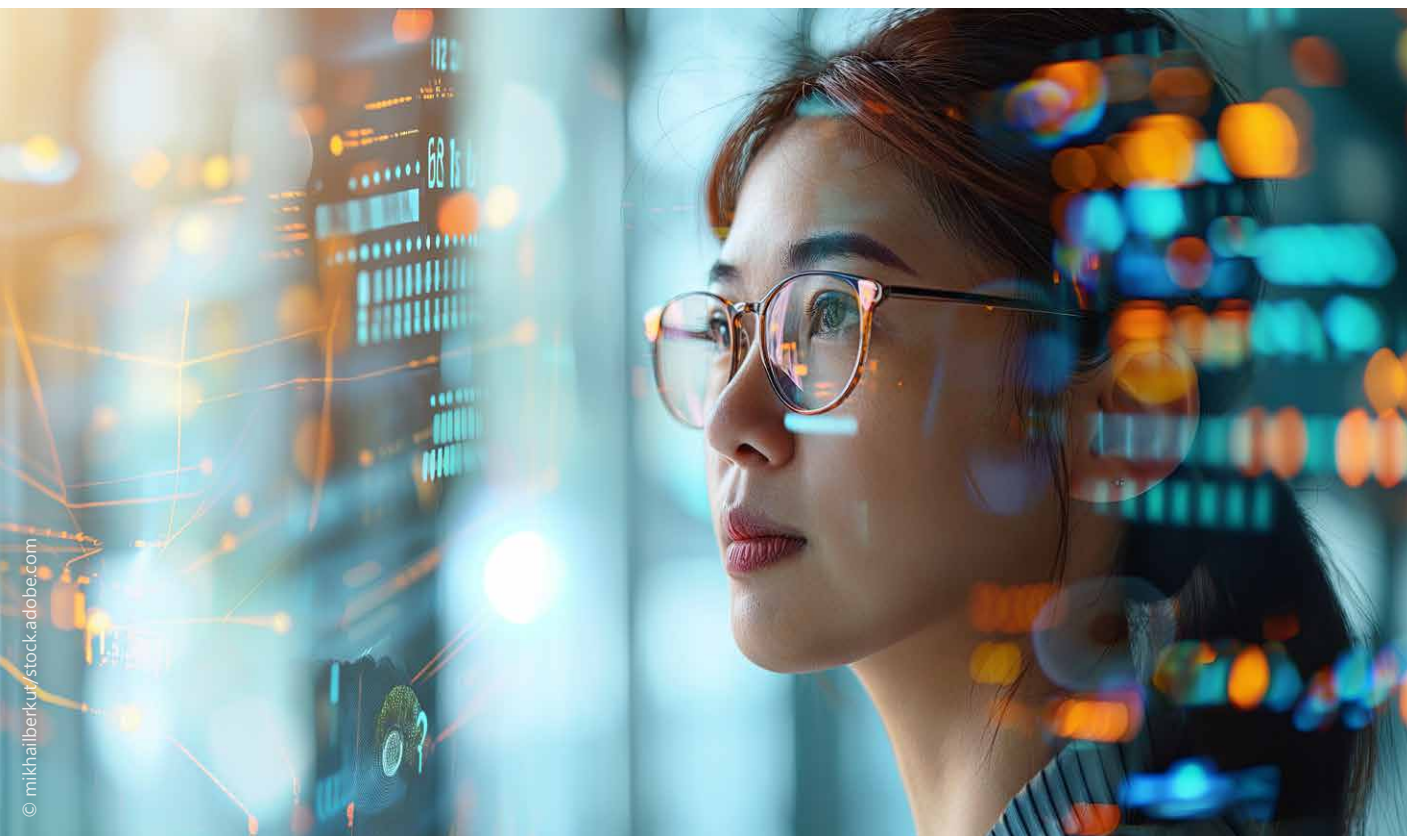
6) A small investment firm within the meaning of section 2 (16) of the Investment Firm Act is an investment firm that does not meet the conditions set out in Article 12(1) of Regulation (EU) 2019/2033.

Source: BaFin

**Prevention of money laundering**

There are more than 9,000 undertakings and persons in the German financial sector that are obliged to take anti-money laundering measures. BaFin supervises some groups of undertakings for money laundering purposes even though it is not responsible for their prudential

supervision. These include branch offices within the meaning of section 53b of the German Banking Act (Kreditwesengesetz) and institutions that have been exempted in accordance with section 2 (4) and (5) of the Banking Act.



## 1 Key areas of supervisory strategy

### 1.1 Risks arising from corrections on the real estate markets

The strained situation on the German commercial real estate market, including commercial residential real estate, persisted in 2024. The commercial real estate market correlates very strongly with the weaker economic environment. Insolvencies among commercial tenants, portfolio holders and project developers are increasingly leading to loan defaults. This was evident in the rising numbers of non-performing loans (NPLs) at German banks, at both significant institutions (SIs) and less significant institutions (LSIs). Banks with a focus on financing commercial real estate were particularly exposed to increased risk as loan defaults and decreases in the value of collateral placed a strain on their balance

sheets. This was further exacerbated by the situation on the US commercial real estate market, in which some German banks have invested. BaFin will continue to closely supervise institutions that have focussed their business on the commercial real estate market.

In contrast, the residential real estate market showed signs of stabilising. Prices rose slightly and new lending slowly recovered. Loss rates remained low and risk provisioning increased only moderately.

The market environment for real estate funds remained challenging due to further liquidity outflows in open-ended retail funds. In April 2024, BaFin therefore established a regular data-based market overview and analysed individual funds on the basis of monthly cash



## Risks in BaFin's Focus 2024

BaFin publishes an annual report entitled "Risks in BaFin's Focus" that identifies the greatest risks to the integrity and stability of the German financial system. BaFin then focusses on these, in line with the principle of risk-based supervision. The "Risks in BaFin's Focus" also addresses key future risks and trends. In addition, BaFin explains what it is doing to

contain these risks as effectively as possible and how it is dealing with the trends identified.

This chapter of the Annual Report 2024 provides a brief overview of the measures that BaFin has taken to combat these risks and trends.

flow reports from the asset management companies in stress scenarios. In 2024, there was sufficient liquidity for real estate funds in the market.

In April and May 2024, BaFin conducted an extensive survey on the investment behaviour of insurance companies. Due to unfavourable market developments in the commercial real estate sector, a particular focus was placed on collecting quantitative data on this segment.

BaFin's analysis showed that, as at 31 December 2023, the insurers surveyed made negative valuation adjustments in commercial real estate, particularly office real estate, of around 7% on average as compared to the year-end figure for 2022.

A more nuanced picture emerged with regard to the financing of real estate projects: the average value adjustment required by the insurers surveyed was around 11.5%. As a result, insurers had to recognise higher impairment losses in this area. However, the total volume of such investments was relatively low, meaning that the necessary value adjustments appeared manageable overall for the companies concerned.

Prices on the residential real estate market have also been affected by rising interest rates and high inflation since 2022. This reduced some of the overvaluations that had arisen in previous years. Over the course of 2024, there were clear signs of a decline in risks on the residential real estate market.

### 1.2 Risks arising from significant corrections on the international financial markets

The international financial markets were stable in 2024 despite some turbulence. Central banks loosened

monetary policy due to falling inflation. Interest rate cuts in Europe and the USA were expected by market participants and had already been priced in.

At the beginning of August 2024, there were brief market slumps due to the unwinding of carry trades after the Japanese central bank raised key interest rates slightly. Losses from these market movements were largely recouped within a short period of time. Nevertheless, the incident showed that the market can be very volatile.

The high levels of national debt in many countries also harboured risks for the financial system. Higher interest rates increased financing costs and the risk of default. This was reflected on the markets in the rising risk premiums on government bonds from these countries.

BaFin identified institutions with high and risky exposures that depend heavily on financial markets. BaFin assessed the risk content of such exposures and – where necessary – closely supervised the invested institutions.

### 1.3 Risks arising from corporate loan defaults

The situation for the German economy remained difficult in 2024. Following a decline in economic output in recent years, very slight growth is forecast for 2025.

There were various reasons for these structural challenges: geopolitical conflicts and trade tensions weighed on the export economy. High energy costs compared with other countries also continued to put a strain on German companies. This affected energy-intensive sectors in particular, such as the chemical and metal industries, as well as glass and paper production.

These developments had a direct impact on companies: the number of company insolvencies rose, which in turn led to an increase in non-performing loans. Banks and insurance companies therefore increased their loan loss provisions, albeit at a low level.

BaFin closely monitored the credit risks of German financial institutions. It focussed on credit institutions with a strong exposure to sectors that could be particularly affected by a slump in economic activity.

## 1.4 Cyber risks

In 2024, the threat in cyberspace was higher than ever before. This was the assessment by the Federal Office for Information Security (*Bundesamt für Sicherheit in der Informationstechnik* – BSI). Due to increasing digitalisation and the interconnectedness of all systems, cyber criminals are constantly being provided with new points of attack. The consequences of such attacks can be devastating: from financial losses and reputational damage to systemic crises.

Major companies in the financial sector operate critical infrastructures and are therefore particularly vulnerable to cyberattacks.

The methods of attack are diverse and are constantly being further developed thanks to new technologies such as artificial intelligence and quantum computing.

If serious operational or security incidents affect a payment service or a significant outsourcing arrangement, these must be reported to BaFin. In 2024, BaFin received 329 payment incident reports. This represents a significant increase in the number of reports compared to previous years. In order to minimise risks, BaFin increased its scrutiny of the IT systems of credit institutions, payment services providers and insurers in 2024. Where serious deficiencies were identified, it imposed capital add-ons.

The rules of the Digital Operational Resilience Act (DORA) have been applicable since 17 January 2025. The EU's new DORA directive places stricter requirements on the cyber resilience of financial institutions. BaFin carried out extensive implementation work on this in 2024.<sup>1</sup>

BaFin organised the first cyber crisis roundtable in July 2024 to facilitate the prompt, direct and confidential exchange of information with companies in the financial

sector in the event of cyber crises. Representatives from BaFin and eleven major companies from the German banking, insurance and securities industries took part in the meeting. The format is to be expanded to include medium-sized companies and promote dialogue beyond crisis situations.

BaFin also participated in the work of Germany's National Cyber Defence Centre (*Nationales Cyber-Abwehrzentrum*) and cooperated closely with other national and international authorities. It held a two-day cyber crisis exercise, working together with selected companies in the financial sector, the Deutsche Bundesbank, the German Federal Ministry of Finance (*Bundesfinanzministerium* – BMF) and the BSI to test how Germany's financial system could respond to a serious cyberattack in a coordinated manner.

## 1.5 Risks arising from inadequate money laundering prevention

The risk of financial market players being misused for money laundering purposes is still high. There is a high risk of money laundering and terrorist financing in internal payment transactions in particular. Complex product and transaction structures also increase the risks.

BaFin has further intensified its preventive supervision. It has conducted routine and ad hoc special audits in the banking and non-banking sector.<sup>2</sup> In 2024, BaFin increasingly focussed on high-risk products and business models.

The risks of being misused for terrorist financing have increased significantly in recent years due to the unstable geopolitical situation. For this reason, as part of its supervisory activities, BaFin also placed a particular focus on combating terrorist financing in 2024 and emphasised this at its money laundering symposium.

BaFin has updated the General Section of the Interpretation and Application Guidance on the German Money Laundering Act (*Auslegungs- und Anwendungshinweise zum Geldwäschegesetz*), which it published on 29 November 2024.

In April 2024, the European legislator adopted the three central parts of an anti-money laundering package. It thus laid the foundation for the harmonisation of supervisory requirements for the prevention of

<sup>1</sup> See Chapter I.2.5.1 DORA.

<sup>2</sup> See Chapter I.2.2.5 Money laundering prevention.

money laundering and terrorist financing. BaFin is preparing intensively for the new European supervisory regime and is actively involved in preparations for the implementation of the new European anti-money laundering regime.<sup>3</sup>

## 1.6 Risks arising from market concentration due to the outsourcing of IT services

In 2024, outsourcing by companies in the financial sector continued to increase – especially outsourcing to multi-client IT service providers. While outsourcing allows companies to reduce costs and concentrate on their core business, the strong dependence on a few specialised IT service providers can harbour considerable risks.

The concentration on just a few providers means that numerous companies are reliant on the services of a single service provider. As a result, the failure of one service provider, or disruptions to its services, could have consequences for a large number of companies in the financial sector. This applies in particular to processes that are critical for the functioning of the financial market. As a result, the financial market as a whole may become more vulnerable.

BaFin and other financial supervisory authorities are focussing on IT multi-client service providers on which companies in the financial market depend. If such multi-client service providers fail, switching to another service provider is often difficult and time-consuming, as specialised solutions cannot be easily replaced. In many cases, it is also not possible to reintegrate processes into the outsourcing company due to the level of specialisation.

### Outsourcing database provides early warning system and increases transparency

Transparency about the interconnectedness on the financial market is essential for BaFin to assess the scale of an incident. Since the end of 2022, financial companies have therefore been required to report information on (material) outsourcing arrangements to BaFin. Since then, approximately 2,200 supervised entities have notified BaFin of around 24,000 (material) outsourcings. BaFin uses this data for cross-sectoral analyses – in particular to identify concentrations among individual service providers.

Companies in the financial sector are also focussing on concentration risks in their risk management. In addition, the new EU regulation DORA requires a comprehensive risk assessment and monitoring of third-party relationships – throughout the entire life cycle of use.<sup>4</sup>

## 1.7 Trend: increasing digitalisation

As described above, new technologies offer opportunities for the financial sector, but also harbour risks such as bias in AI models, dependence on large technology providers and potential threats to financial stability.

Companies in the financial sector are increasingly using artificial intelligence (AI), especially generative AI. This is true of the entire value chain. Many initiatives regarding the use of generative AI are still in the testing or pilot phase. In 2024, BaFin concentrated on the use of AI in the financial sector so that it can better assess the risks. The focus was on generative AI in particular.

In the financial services sector too, various potential practical applications are already being researched, in areas such as risk management and portfolio optimisation. A possible breakthrough in quantum computing will pose risks for the financial sector. Companies need to prepare for this development now, because quantum computers are able to decrypt traditional encryption methods.

BaFin also analysed the implications of open finance for the German financial sector and the impact of open financial data on the financial sector and on supervision.

It also prepared for the monitoring of instruments that fall under the new EU Markets in Crypto-Assets Regulation (MiCAR). BaFin has been supervising the issuers of certain tokens since June 2024 and crypto securities service providers since December 2024.

## 1.8 Trend: sustainability

Climate and environmental risks remained a challenge for the financial sector in 2024. In particular, physical climate risks that result from the specific impacts of climatic changes, such as extreme weather events, give rise to enormous financial losses and personal injuries and can have an impact on banks' loan portfolios or

<sup>3</sup> See Chapter IV Money laundering prevention.

<sup>4</sup> See Chapter I.1.4 Cyber risks.

insurers' loss amounts, for example. Greenwashing risks also continued to pose a significant risk to investor confidence in a functioning financial market.

These risks must be adequately taken into account in order to ensure the stability of the financial system. Companies must adapt their business models to the changing environment and strengthen their resilience to climate and environmental risks.

In 2024, BaFin took various measures to encourage companies in the financial sector to take greater account of climate and environmental risks. This included intensified supervision with regard to the way banks and insurers that might be particularly exposed deal with physical risks, and the further development of supervisory stress tests. In the LSI stress test, for example, the supplementary qualitative questionnaire comprised questions on ESG factors. A particular focus in 2024 was again on improving data quality and developing suitable methods for assessing climate and environmental risks as part of risk management.

#### **Focus on disclosure and reporting**

Another focus was on reviewing the implementation of the Sustainable Finance Disclosure Regulation (SFDR). One of the most frequent findings was that the information published regarding the sustainability impact of products and services is not always easy enough to understand.

BaFin also expanded its expertise in order to monitor the new requirements of the Corporate Sustainability Reporting Directive (CSRD). As soon as it is transposed

into national law, this directive will lead to more comprehensive and comparable sustainability reporting by companies.

BaFin actively participated in the European discussion on the further development of the EU Disclosure Regulation SFDR and shared its expertise in relevant committees. The aim is to create simplified, comprehensible and uniform standards for sustainable financial products and services and to prevent greenwashing.

## **1.9 Trend: geopolitical turmoil**

Geopolitical tensions pose a growing threat to the global economy. Rising energy prices, supply chain problems and cyberattacks are just some of the consequences. Furthermore, the system of global security and economic order based on free trade and common rules is increasingly being challenged. This is intensifying geopolitical uncertainties and tensions. With its strong focus on exports and its high degree of international interconnectedness, Germany is particularly vulnerable to geopolitical shocks.

The financial sector is affected directly and indirectly: cyberattacks can hit companies directly. Indirect effects on companies in the financial sector result from a deterioration in the economic environment and increasing volatility on the financial markets.

In 2024, BaFin analysed the risks that could arise for German companies and banks as a result of geopolitical events. It placed a special focus on loans granted to companies in certain regions or sectors that are particularly vulnerable to political uncertainty.

# **2 Key areas of supervisory practice**

## **2.1 More proportionality – less complexity and bureaucracy**

BaFin is committed to achieving less complexity and greater proportionality in regulation and supervision – all without reducing the level of security. In particular, there should be no compromises when calibrating the solvency requirements of Basel III and Solvency II. Rather, BaFin believes that the complexity and bureaucratic burden need to be reduced. The aim is to create effective and, where necessary, strict but easily understandable rules.

Simpler, less complex rules are especially important for smaller institutions and companies, since overly complex rules and supervisory requirements are particularly onerous for them. More proportionate and more risk-appropriate regulation needs to be crafted for these institutions and companies.

#### **Reducing bureaucracy: a perennial issue**

14 of BaFin's 69 objectives for 2024 involved reducing bureaucracy or streamlining processes. BaFin also established bureaucracy reduction as a permanent process at the end of 2024. It plans to regularly compile suggestions for reducing bureaucracy in national and



European law and submit them to the German Federal Ministry of Finance for future legislative projects. 12 of BaFin’s proposals from 2024 have been incorporated into the government’s draft of the German Financing for the Future Act II (*Zukunftsfinanzierungsgesetz II*), including elimination of the employee and complaints register and the requirement to submit land registry certificates for open-ended and closed-ended special real estate funds.

### Less complexity at the EU level

BaFin is additionally in favour of less complexity in European regulation, particularly with regard to the European Supervisory Authorities as well as Level 2 and Level 3 work. It has also submitted 27 proposals for reducing bureaucracy in European law to the Federal Ministry of Finance. They mainly involve eliminating notification, reporting and authorisation requirements, adjusting thresholds, rolling back overregulation and increasing proportionality.

### BaFin scrutinises its own administrative practice

BaFin also wants to establish simpler, proportional rules where it has the freedom to do so. BaFin critically scrutinises its administrative practice and makes adjustments where necessary. The [supervisory statement](#) published at the end of November 2024 represents a milestone in banking supervision. BaFin introduced new simplified requirements for small institutions in this statement.<sup>5</sup> Further steps are being planned.

<sup>5</sup> See [Chapter II.1](#) Credit institutions, payment institutions and e-money institutions, leasing and factoring institutions, crypto custodians, crypto securities registration and credit services institutions under the German Secondary Credit Market Act (*Kreditweitmarktgesetz*).

## 2.2 Risk classification and (special) inspections

### 2.2.1 Credit institutions, payment institutions and e-money institutions, leasing and factoring institutions, crypto custodians, crypto securities registration and credit services institutions under the German Secondary Credit Market Act (*Kreditweitmarktgesetz*)

#### Risk classification

Every year, BaFin and the Deutsche Bundesbank prepare a risk analysis for the credit institutions under their national supervision. This is based on the European Banking Authority (EBA) [Guidelines](#) on the supervisory review and evaluation process (SREP). The European Central Bank (ECB) builds on these guidelines with its publication of the SSM LSI SREP methodology, thus ensuring a uniform procedure for less significant institutions (LSIs) in the Single Supervisory Mechanism (SSM). The ECB continuously enhances this methodology and adapts it to changes in the banking sector.

BaFin uses two dimensions to classify credit institutions: the quality of the institution, which can range from 1 (very good) to 4 (poor) depending on the SREP score, and the potential impact on the stability of the financial sector of a solvency or liquidity crisis at the institution concerned. This impact dimension ranges from I (low) to IV (high) (see Table 1). BaFin bases the intensity of its supervisory programme for the individual institution on this classification. This ensures a proportionate, risk-based supervisory approach.

**Table 1: Risk classification results for credit institutions under national supervision in 2024 and 2023\***

| Institutions in %             |            | Quality |      |      |      |      |      |      |      |       |       |
|-------------------------------|------------|---------|------|------|------|------|------|------|------|-------|-------|
| Risk matrix                   |            | 1       |      | 2    |      | 3    |      | 4    |      | Total |       |
|                               |            | 2024    | 2023 | 2024 | 2023 | 2024 | 2023 | 2024 | 2023 | 2024  | 2023  |
| Impact on financial stability | High       | 0.0     | 0.0  | 2.4  | 2.0  | 0.5  | 0.6  | 0.0  | 0.1  | 2.9   | 2.7   |
|                               | Medium     | 0.2     | 0.3  | 4.3  | 4.2  | 4.5  | 5.0  | 0.6  | 0.6  | 9.6   | 10.1  |
|                               | Medium-low | 1.0     | 0.9  | 9.3  | 9.1  | 2.0  | 1.8  | 0.5  | 0.2  | 12.8  | 12.0  |
|                               | Low        | 5.8     | 5.5  | 58.4 | 56.7 | 10.3 | 12.8 | 0.2  | 0.2  | 74.7  | 75.2  |
| Total                         |            | 7.0     | 6.7  | 74.4 | 72.0 | 17.3 | 20.2 | 1.3  | 1.1  | 100.0 | 100.0 |

\* This table shows the relative breakdowns of the credit institutions supervised by BaFin’s Banking Supervision Sector.  
Source: BaFin

**Table 2: Special inspections of credit institutions initiated by BaFin in 2024 and 2023 by risk class**

| Special inspections initiated by BaFin |            | Quality of the institution |      |      |      |      |      |      |      |       |      | Institutions in %* |      |
|----------------------------------------|------------|----------------------------|------|------|------|------|------|------|------|-------|------|--------------------|------|
|                                        |            | 1                          |      | 2    |      | 3    |      | 4    |      | Total |      |                    |      |
|                                        |            | 2024                       | 2023 | 2024 | 2023 | 2024 | 2023 | 2024 | 2023 | 2024  | 2023 | 2024               | 2023 |
| Impact on financial stability          | High       | 0                          | 0    | 6    | 16   | 2    | 10   | 0    | 0    | 8     | 26   | 22.9               | 74.3 |
|                                        | Medium     | 0                          | 0    | 16   | 16   | 12   | 10   | 0    | 2    | 28    | 28   | 23.7               | 21.2 |
|                                        | Medium-low | 1                          | 2    | 12   | 15   | 5    | 4    | 1    | 1    | 19    | 22   | 12.0               | 14.4 |
|                                        | Low        | 3                          | 0    | 30   | 47   | 27   | 17   | 1    | 2    | 61    | 66   | 6.6                | 6.9  |
|                                        | Total      | 4                          | 2    | 64   | 94   | 46   | 41   | 2    | 5    | 116   | 142  | 9.4                | 11.1 |
| Institutions in %*                     |            | 4.7                        | 2.4  | 7.0  | 10.2 | 21.5 | 15.8 | 12.5 | 33.3 | 9.4   | 11.1 |                    |      |

\* Percentage of the total number of institutions in the respective quality/impact category for which inspections were performed.

Source: BaFin

**Table 3: Special inspections in 2024 and 2023 by groups of institutions**

|                                                    | Commercial banks |             | Savings bank sector |             | Cooperative sector |            | Other institutions |             |
|----------------------------------------------------|------------------|-------------|---------------------|-------------|--------------------|------------|--------------------|-------------|
|                                                    | 2024             | 2023        | 2024                | 2023        | 2024               | 2023       | 2024               | 2023        |
| Impairment-related special inspections             | 3                | 3           | 5                   | 11          | 9                  | 10         | 1                  | 0           |
| Section 25a (1) of the Banking Act (MaRisk)        | 19               | 27          | 19                  | 24          | 50                 | 42         | 13                 | 14          |
| Cover                                              | 0                | 1           | 2                   | 2           | 1                  | 0          | 1                  | 0           |
| Internal approaches                                | 1                | 5           | 3                   | 1           | 0                  | 0          | 0                  | 2           |
| Section 19 of the Payment Services Supervision Act | 0                | 0           | 0                   | 0           | 0                  | 0          | 0                  | 0           |
| <b>Total</b>                                       | <b>23</b>        | <b>36</b>   | <b>29</b>           | <b>38</b>   | <b>60</b>          | <b>52</b>  | <b>15</b>          | <b>16</b>   |
| <b>Inspection ratio in %*</b>                      | <b>17.6</b>      | <b>25.2</b> | <b>8.4</b>          | <b>10.8</b> | <b>9.0</b>         | <b>7.5</b> | <b>16.3</b>        | <b>16.8</b> |

|                                                    | Leasing and factoring institutions |            | Crypto custodians |             | Payment institutions and e-money institutions |            | Total      |            |
|----------------------------------------------------|------------------------------------|------------|-------------------|-------------|-----------------------------------------------|------------|------------|------------|
|                                                    | 2024                               | 2023       | 2024              | 2023        | 2024                                          | 2023       | 2024       | 2023       |
| Impairment-related special inspections             | 0                                  | 0          | 0                 | 0           | 0                                             | 0          | 18         | 24         |
| Section 25a (1) of the Banking Act (MaRisk)        | 2                                  | 4          | 3                 | 3           | 0                                             | 0          | 106        | 114        |
| Cover                                              | 0                                  | 0          | 0                 | 0           | 0                                             | 0          | 4          | 3          |
| Internal approaches                                | 0                                  | 0          | 0                 | 0           | 0                                             | 0          | 4          | 8          |
| Section 19 of the Payment Services Supervision Act | 0                                  | 0          | 0                 | 0           | 2                                             | 4          | 2          | 4          |
| <b>Total</b>                                       | <b>2</b>                           | <b>4</b>   | <b>3</b>          | <b>3</b>    | <b>2</b>                                      | <b>4</b>   | <b>134</b> | <b>153</b> |
| <b>Inspection ratio in %*</b>                      | <b>0.6</b>                         | <b>1.0</b> | <b>25.0</b>       | <b>33.3</b> | <b>2.4</b>                                    | <b>4.8</b> |            |            |

\* Ratio of the number of inspections to the number of institutions in each group of institutions.

Source: BaFin

Since 2023, BaFin has classified affiliated institutions considered small and non-complex in the “low” impact dimension. Some of them were classified as “medium-low” in years prior. This change was made so as to apply the risk-based supervisory approach even more consistently to these institutions.

In addition, BaFin and the Deutsche Bundesbank developed a comparable risk classification framework for payment and e-money institutions as well as leasing and factoring institutions in 2023. They aim to expand the risk-based supervisory approach for these institutions as well. These companies are extremely heterogeneous and are not directly comparable to credit institutions. Therefore, different dimensions for risk classification will be used depending on the group of institutions. After a pilot phase in 2024, these frameworks will also be used for 2025.

### Inspections and special inspections

Section 44 of the German Banking Act (*Kreditwesengesetz*) grants BaFin rights of access to information that allow it to order special inspections for a specific reason (ad hoc inspections) and without a specific reason (routine inspections). In routine inspections, BaFin always takes into account the institutions’ risk classification. Institutions with a lower quality rating or whose solvency or liquidity crisis would have a higher potential impact on the stability of the financial sector are subject to more inspections than others (see Table 2 on page 17).

In 2024, BaFin conducted 134 special inspections (previous year: 153). Table 3 on page 17 shows the breakdown of special inspections for each group of institutions and the areas of emphasis of the special inspections. BaFin also used other supervisory tools to obtain insights into the institutions it supervises,

including in-depth examinations in accordance with section 30 of the Banking Act ordered as part of the annual audits.

### 2.2.2 Insurance undertakings and pension funds

#### Risk classification

BaFin also categorises the insurance undertakings and pension funds it supervises into risk classes in order to enable risk-based, proportional supervision (see Table 4).

When making its classifications, BaFin first considers the quality of the undertaking or group concerned. This is derived from factors including the financial position and financial performance, the system of governance and future viability as well as the holders of qualifying holdings. BaFin also considers the potential impact of a solvency or liquidity crisis at the undertaking concerned on the stability of the financial sector.

When assessing groups, BaFin considers group-specific factors instead of holders of qualifying holdings. This means that BaFin takes into account the classification results of the individual undertakings as well as qualitative and quantitative group-specific information. In 2024, the classified insurance groups received quality ratings of “A” (1.9%) “B” (81.1%) or “C” (17.0%).

#### Inspections

BaFin also takes a risk-based approach when planning inspections in insurance supervision. In addition to the risk classification results, one factor that BaFin takes into account is the date when a supervised undertaking was last inspected. BaFin also performs ad hoc and topic-related special inspections, such as with a focus on IT or conduct of business supervision.

**Table 4: Risk classification results for insurance undertakings and pension funds in 2024 and 2023**

| Undertakings in %             |           | Quality of the undertaking |      |              |      |              |      |              |      |       |       |
|-------------------------------|-----------|----------------------------|------|--------------|------|--------------|------|--------------|------|-------|-------|
|                               |           | <div>A</div>               |      | <div>B</div> |      | <div>C</div> |      | <div>D</div> |      | Total |       |
|                               |           | 2024                       | 2023 | 2024         | 2023 | 2024         | 2023 | 2024         | 2023 | 2024  | 2023  |
| Impact on financial stability | Very high | 0.0                        | 0.0  | 2.0          | 2.7  | 1.6          | 1.6  | 0.0          | 0.0  | 3.5   | 4.3   |
|                               | High      | 1.6                        | 1.2  | 9.8          | 7.8  | 2.7          | 4.1  | 0.0          | 0.0  | 13.9  | 13.1  |
|                               | Medium    | 3.7                        | 3.1  | 17.6         | 20.3 | 5.9          | 5.8  | 0.0          | 0.0  | 27.3  | 29.2  |
|                               | Low       | 4.9                        | 4.9  | 37.6         | 36.1 | 11.4         | 11.3 | 1.2          | 1.1  | 55.3  | 53.4  |
|                               | Total     | 10.2                       | 9.2  | 67.0         | 66.9 | 21.6         | 22.8 | 1.2          | 1.1  | 100.0 | 100.0 |

Source: BaFin

**Table 5: Inspections of insurance undertakings and pension funds in 2024 and 2023 by risk class**

| Inspections performed         |           | Quality of the undertaking |      |      |      |      |      |      |      |       |       | Undertakings in % |       |
|-------------------------------|-----------|----------------------------|------|------|------|------|------|------|------|-------|-------|-------------------|-------|
|                               |           | A                          |      | B    |      | C    |      | D    |      | Total |       |                   |       |
|                               |           | 2024                       | 2023 | 2024 | 2023 | 2024 | 2023 | 2024 | 2023 | 2024  | 2023  | 2024              | 2023  |
| Impact on financial stability | Very high | 0                          | 0    | 7    | 4    | 4    | 4    | 0    | 0    | 11    | 8     | 15.1              | 11.3  |
|                               | High      | 1                          | 0    | 8    | 5    | 4    | 2    | 0    | 0    | 13    | 7     | 17.8              | 9.9   |
|                               | Medium    | 0                          | 2    | 13   | 15   | 8    | 7    | 0    | 0    | 22    | 24    | 30.1              | 33.8  |
|                               | Low       | 0                          | 2    | 18   | 26   | 9    | 4    | 0    | 0    | 27    | 32    | 37.0              | 45.1  |
| Total                         |           | 2                          | 4    | 46   | 50   | 25   | 17   | 0    | 0    | 73*   | 71**  | 100.0             | 100.0 |
| Undertakings in %             |           | 2.7                        | 5.6  | 63.0 | 70.4 | 34.2 | 23.9 | 0    | 0    | 100.0 | 100.0 |                   |       |

\* In addition, one inspection was conducted at an unclassified undertaking, bringing the total to 74.

\*\* In addition, one inspection was conducted at an unclassified undertaking, bringing the total to 72.

Source: BaFin

In 2024, BaFin conducted a total of 74 inspections of insurance undertakings and pension funds (previous year: 72 inspections). Table 5 shows the breakdown of inspections by risk class.

## 2.2.3 Securities trading and investment business

### 2.2.3.1 Investment firms

All investment firms supervised were examined in accordance with the German Investment Firm Act (*Wertpapierinstitutsgesetz*) in 2024, and a large number of them were also examined in accordance with the German Securities Trading Act (*Wertpapierhandelsgesetz*) (see Table 6).

BaFin defined one or more areas of emphasis in addition to the regular examination for 13 investment firms. These areas of emphasis covered various topics. Frequent topics included internal auditing, proper implementation of the remote booking policy, customer service and complaints management as well as best execution. In many cases, the compliance function was defined as an additional area of emphasis. In examinations of the compliance function, BaFin assessed the permanence, effectiveness and independence of the compliance function as well as its personnel and material resources, which primarily include financial resources.

**Table 6: Examinations under the Investment Firm Act and the Securities Trading Act in 2024 and 2023**

| Ongoing supervision                           | 2024 | 2023 |
|-----------------------------------------------|------|------|
| Examinations under the Investment Firm Act    | 707  | 722  |
| Examinations under the Securities Trading Act | 564  | 591  |
| Special inspections                           | 0    | 0    |
| Areas of emphasis for examinations            | 13   | 20   |
| Shadowed inspections of institutions          | 6    | 11   |

Source: BaFin

### 2.2.3.2 German asset managers (*Kapitalverwaltungsgesellschaften*)

BaFin performed a total of 53 supervisory visits and annual interviews at German asset managers in 2024 (previous year: 87). The special areas of emphasis were implementation of the Digital Operation Resilience Act (DORA) and the requirements under the EU Disclosure Regulation. There was also a focus on developments on the capital markets – and the resulting impact on investment funds. In this context, BaFin took an especially close look at the geopolitical situation – for example, the impact of geopolitical conflicts on funds – and future plans of asset managers for their product range. This also included the question of whether asset



managers currently acquire cryptoassets or crypto securities in accordance with the German Electronic Securities Act (*Gesetz über elektronische Wertpapiere*) or plan to do so in the future.

The prescribed financial statement audits were performed in 2024 at all 142 asset managers authorised to manage investment funds under section 20 (1) in conjunction with section 21 and/or section 22 of the German Investment Code (*Kapitalanlagegesetzbuch*). In 2024, BaFin conducted a total of 19 special inspections at asset managers and 1 at a depositary (previous year: 9 total). This increase was due to specific supervisory incidents as well as the revised audit criteria and the regular audit cycle. External sworn auditors conducted the inspections on behalf of BaFin. Special topics included the new product process and outsourcing as well as liquidity and risk management. BaFin shadowed the external auditors in 7 of the special inspections (previous year: 6).

### 2.2.4 Financial reporting enforcement

A total of 447 publicly traded companies from 10 countries were subject to single-tier financial reporting enforcement by BaFin as at 1 July 2024 (previous year: 490 companies).

#### Examinations in 2024

BaFin completed 46 examinations of companies' financial reporting in 2024. Of this total, 5 were ad hoc examinations and 41 were the result of random sampling. BaFin discontinued 5 proceedings because a review found that there was no longer any public interest in further clarification of the respective matter. For example, this may be the case if the company concerned is no longer listed on the stock exchange. A delisting usually reduces the capital market's interest in potential accounting errors. BaFin identified errors in the course of 10 examinations (see Table 7).

Errors were most frequently found in the disclosures in the notes and the management report, such as the presentation of business performance, risks and forecasts. Other errors related to the valuation of assets, revenue realisation and the cash flow statement.

BaFin also investigated 46 external and internal tip-offs in the year under review, 37 of which led to in-depth examinations. BaFin ordered 4 ad hoc examinations due to concrete evidence of accounting errors.

#### Areas of emphasis for examinations

Each year the European Securities and Markets Authority (ESMA) sets European common enforcement priorities for examinations relating to the previous financial year. For the 2023 financial year, ESMA designated climate-related issues and the macroeconomic environment as enforcement priorities, with a focus on refinancing risks arising from the general interest rate trend.

BaFin also defined its own area of emphasis as the presentation of the business model and management system in the (group) management report. Additional company-specific areas of emphasis were selected following a risk-based approach.

On 7 November 2024, BaFin published its area of emphasis for random sampling examinations in 2025: the recoverability of financial and non-financial assets.

#### First Financial Reporting Enforcement Forum

On 7 November 2024, BaFin hosted the first Financial Reporting Enforcement and Corporate Reporting Forum in Frankfurt am Main. Supervisors provided information on their supervisory priorities and current findings from previous examinations. They also exchanged views with representatives of supervised companies, auditors and other stakeholders. The topics covered included challenges posed by the future sustainability reporting requirements.

Table 7: Financial reporting examinations in 2024 and 2023

|                     | Financial reporting examinations |      | Errors found |      | No errors found |      | Discontinued |      |
|---------------------|----------------------------------|------|--------------|------|-----------------|------|--------------|------|
|                     | 2024                             | 2023 | 2024         | 2023 | 2024            | 2023 | 2024         | 2023 |
| Ad hoc examinations | 5                                | 10   | 3            | 8    | 0               | 2    | 2            | 0    |
| Random sampling     | 41                               | 32   | 7            | 7    | 31              | 24   | 3            | 1    |
| Total               | 46                               | 42   | 10           | 15   | 31              | 26   | 5            | 1    |

Source: BaFin

## 2.2.5 Money laundering prevention

In 2024, BaFin continued to take a risk-based approach in examining whether the institutions and companies it supervises fulfilled their statutory obligations to prevent money laundering and terrorist financing. Among BaFin’s main sources of information are its own inspections. If BaFin discovers during inspections that prevention systems are inadequate or ineffective, it takes steps to ensure that these shortcomings are rectified.

### Intensified inspections

BaFin continued to intensify its inspection activities in 2024 (see Table 8). As in previous years, IT monitoring and risk analysis were a focus in the banking sector. In addition, the processes for updating customer data and for suspicious transaction reporting were scrutinised more closely. In the non-banking financial sector, the inspections concentrated on compliance with customer due diligence requirements and risk management. BaFin conducted an increasing number of related on-site inspections at agents working on behalf of one or more foreign payment institutions.

BaFin incorporated the findings from the 2023 audit campaign on terrorist financing into its supervisory activities in 2024. To review the results, it re-examined institutions in 2024 that had been involved in the campaign the previous year. Both in this review and in routine inspections, it became clear that institutions need to differentiate their measures against money laundering and terrorist financing more clearly from one another and to more strongly address their institution-specific risks. BaFin has published information in this regard on its website.

In addition to the inspections, BaFin conducted 672 regular and ad hoc supervisory interviews and visits (previous year: 628).

BaFin defined additional areas of emphasis for 35 annual audits for 2024 in order to more closely monitor institution-specific preventive measures.

## 2.3 Measures and sanctions taken by BaFin

BaFin can take a variety of different approaches to protect the stability, operability and integrity of Germany’s financial system and collective consumer interests. It enters into a dialogue with the companies it supervises, can object to issues either in writing or orally, and can require the companies concerned to rectify any problems. In addition, it can impose supervisory measures and sanctions.

### Measures

BaFin can take the supervisory measures defined in the various specialised pieces of legislation. It can issue administrative acts to take action against legal and natural persons, and persons unknown. Measures are designed to be preventive in nature; their objective is to avoid risks materialising. Consequently, a measure does not necessarily have to be preceded by a breach of the law.

Among other things, supervisory measures include special inspections, capital add-ons, restrictions on business activities, prohibitions of transactions, the rescission of authorisations or the deployment of special representatives at the companies concerned. These special representatives have the job of monitoring the implementation of measures at the companies concerned.

BaFin can also appoint special representatives with the powers of a senior manager. These then assume the tasks of a senior manager or of a governing body of the company concerned in whole or in part.

**Table 8: Anti-money laundering supervision inspections in 2024 and 2023**

| Type of inspection                   | Banking sector |      | Non-banking financial sector |      |
|--------------------------------------|----------------|------|------------------------------|------|
|                                      | 2024           | 2023 | 2024                         | 2023 |
| Own inspections by BaFin             | 49             | 45   | 30                           | 21   |
| Shadowed inspections of institutions | 34             | 49   | 23                           | 18   |
| Special inspections*                 | 30             | 21   | 5                            | 4    |

\* These inspections were performed by audit firms on behalf of BaFin.  
Source: BaFin

The legal basis for this is to be found in the Banking Act, the Investment Code, the German Insurance Supervision Act (Versicherungsaufsichtsgesetz), the German Payment Services Supervision Act (Zahlungsdiensteaufsichtsgesetz) and the German Money Laundering Act (Geldwäschegesetz), among other places.

#### **Sanctions: administrative fines of almost €40 million**

In addition, BaFin can pursue breaches of the law by imposing administrative fines. It does this by instituting proceedings under the German Act on Breaches of Administrative Regulations (Gesetz über Ordnungswidrigkeiten). Administrative fines are sanctions. In contrast to measures, they initially have a repressive effect. However, they are also intended to encourage persons committing the breach to comply with the legal provisions in future. BaFin initiated a total of 195 administrative fine proceedings in 2024. It imposed fines amounting to a total of €39,860,350.<sup>6</sup>

#### **BaFin publishes measures and sanctions**

BaFin publishes supervisory measures and sanctions in its role as an independent supervisory authority and on the basis of the relevant legislation. In 2024, it reported about measures and sanctions in more than 112 notifications published on its website. BaFin also reported on unauthorised business in over 550 notifications. This approach strengthens collective consumer protection and financial market integrity, since publication of BaFin's actions also has a general preventive effect.

Where there is actual evidence of criminal activity, BaFin also files criminal complaints with the public prosecutor's office. BaFin's Banking Supervision Sector filed one criminal complaint in 2024. BaFin's Securities Supervision divisions filed 25 criminal complaints against 70 people on suspicion of market manipulation or insider trading.

### **2.3.1 Credit institutions, payment institutions and e-money institutions, leasing and factoring institutions, crypto custodians, crypto securities registration and credit services institutions under the Secondary Credit Market Act.**

In 2024, BaFin took 768 measures in the banking sector (see Table 9 on page 23). The number of objections and measures had returned to pre-pandemic levels in 2023.

In 2024, BaFin's Banking Supervision divisions appointed 9 special representatives (previous year: 6).

### **2.3.2 Insurance companies and pension funds**

In 2024, BaFin again discovered what were in part material defects at insurance companies in the course of its IT inspections. At one insurance company, BaFin specified capital add-ons to the solvency capital requirement due to breaches of the requirements for proper business organisation under the Insurance Supervision Act. The company has to remedy the defects within a period specified by BaFin. This measure became final and binding in December 2024. BaFin's Insurance Supervision divisions has already issued such measures against two insurance companies in 2023.

In December 2024, BaFin filed for insolvency for one insurer after it reported overindebtedness within the meaning of section 19 of the German Insolvency Code (Insolvenzordnung).

### **2.3.3 Securities trading and investment business**

In 2024, BaFin issued five measures against investment firms (previous year: 3). It revoked one authorisation, rejected the auditor of one annual report, and imposed three coercive fines.

In the area of investment business, BaFin filed for the opening of insolvency proceedings in two cases in accordance with section 43 (1) of the Investment Code in conjunction with section 46b (1) sentence 4 of the Banking Act. It also imposed an administrative fine in the amount of €50,000 in accordance with section 340 (2) no. 38 of the Investment Code. The fine was imposed because the company in question had prepared a prospectus for a fund in accordance with section 165 of the Investment Code in which the key investor information was not correctly presented.

<sup>6</sup> See Chapter I.2.4.3 Consumer protection-driven supervision of compliance with rules of conduct and market supervision.

**Table 9: Supervisory objections and measures under the Banking Act and the Payment Services Supervision Act in 2024 and 2023**

| Type of measure                                                                                                                                   |                    | Commercial banks |            | Savings bank sector |            | Cooperative sector |            | Other institutions** |           | Leasing and factoring institutions |          | Crypto custodians |      | Payment institutions and e-money institutions |          | Total      |            |
|---------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|------------------|------------|---------------------|------------|--------------------|------------|----------------------|-----------|------------------------------------|----------|-------------------|------|-----------------------------------------------|----------|------------|------------|
|                                                                                                                                                   |                    | 2024             | 2023       | 2024                | 2023       | 2024               | 2023       | 2024                 | 2023      | 2024                               | 2023     | 2024              | 2023 | 2024                                          | 2023     | 2024       | 2023       |
| Measures against managers                                                                                                                         | Dismissal requests | 2                |            |                     |            |                    |            |                      |           |                                    |          |                   |      |                                               |          | 2          |            |
|                                                                                                                                                   | Cautions           | 5                | 5          |                     |            | 4                  | 5          | 1                    |           | 2                                  |          |                   |      |                                               |          | 12         | 10         |
| Measures against members of supervisory/ administrative boards                                                                                    | Dismissal requests |                  |            |                     |            | 1                  |            |                      |           |                                    |          |                   |      |                                               |          | 1          |            |
|                                                                                                                                                   | Cautions           |                  |            |                     |            |                    |            |                      |           |                                    |          |                   |      |                                               |          |            |            |
| Measures relating to own funds/liquidity; exceeding the large exposure limit (sections 6c and 10 (3) of the Banking Act, Art. 396(1) of the CRR)  |                    | 156              | 121        | 227                 | 157        | 292                | 411        | 45                   | 43        | 1                                  | 1        |                   |      |                                               |          | 721        | 733        |
| Measures in accordance with section 25a of the Banking Act/section 27 of the Payment Services Supervision Act                                     |                    | 11               | 5          | 1                   |            |                    |            | 2                    | 2         | 1                                  |          | 2                 |      | 2                                             | 3        | 19         | 10         |
| Authorisations revoked in accordance with section 35 of the Banking Act/section 13 of the Payment Services Supervision Act                        |                    |                  |            | 1                   |            |                    |            |                      |           |                                    |          |                   |      |                                               |          |            | 1          |
| Measures in accordance with sections 45, 45b and 46 of the Banking Act*                                                                           |                    | 2                | 9          |                     |            | 1                  |            |                      |           |                                    | 2        | 1                 |      |                                               |          | 4          | 11         |
| Appointment of a special representative, section 45c (1) sentence 1 of the Banking Act and section 20 (2) of the Payment Services Supervision Act |                    | 6                | 3          |                     |            | 2                  | 2          |                      |           |                                    |          |                   |      | 1                                             | 1        | 9          | 6          |
| <b>Total</b>                                                                                                                                      |                    | <b>182</b>       | <b>144</b> | <b>228</b>          | <b>157</b> | <b>300</b>         | <b>418</b> | <b>48</b>            | <b>45</b> | <b>4</b>                           | <b>3</b> | <b>3</b>          |      | <b>3</b>                                      | <b>4</b> | <b>768</b> | <b>771</b> |

\* Measures to improve own funds and liquidity (section 45 of the Banking Act), in the case of organisational deficiencies (section 45b of the Banking Act) and in the case of specific danger (section 46 of the Banking Act).

\*\* *Bausparkassen*, guarantee banks, investment banks, development banks and housing enterprises with savings schemes

This table shows the supervisory objections and measures taken under the Banking Act and the Payment Services Supervision Act that BaFin issued as administrative acts in 2024. However, BaFin is in constant dialogue with the institutions and addresses abnormalities and irregularities at an early stage where necessary. Cases in which institutions rectify shortcomings independently before BaFin takes formal measures are not included in the statistics.

Source: BaFin

## 2.3.4 Market abuse

### Market analysis

In the ALMA (Automated Alarm and Market Analysis System) project, BaFin has developed algorithms for market abuse supervision that can be used to identify

potentially suspicious trading behaviour on stock exchanges and markets. Since 2024, BaFin has also been using artificial intelligence for this.

In May 2024, a machine learning algorithm was added to the ALMA to support the detection of market abuse. The

machine learning algorithm was trained using over 1,500 datasets of real, suspicious trading patterns that BaFin had analysed over the past five years. The algorithms used for ALMA are continuously evaluated and further developed.

### Market manipulation

A total of 18 analyses conducted by BaFin in 2024 found evidence of market manipulation. When performing such analyses and conducting the resulting investigations, BaFin follows a risk-based approach: it focuses on the most relevant breaches of the rules, such as those potentially representing the largest volumes and/or particularly serious potential breaches.

Tables 10 and 11 provide an overview of the market manipulation investigations and completed market manipulation proceedings at the public prosecutor's offices and the courts.

### Convictions in significant market manipulation case

In May 2024, three defendants were given multi-year prison sentences by the Mannheim Regional Court

(Landgericht) for market manipulation committed on a commercial basis and as part of a criminal organisation. In addition, the court ordered the confiscation of approximately €70 million from the defendants.

The trial was largely based on nine criminal complaints filed by BaFin between 2018 and 2021. The Mannheim public prosecutor's office consolidated these complaints into a large combined investigation and charged the suspects at the Mannheim Regional Court.

The court considered the evidence sufficient to prove that one defendant in eight cases and the other defendants in nine cases had entered into positions in financial instruments (various penny stocks), then advertised the financial instruments and resold them after the prices had increased – without the public being properly and effectively informed about existing conflicts of interest at the time of the advertisement. The trial lasted almost 14 months. Several BaFin employees were summoned as witnesses and experts. BaFin also supported the trial with several expert opinions. At the time of publication, the judgement was not yet legally binding.

Table 10: Market manipulation investigations

| Period | Market manipulation analyses yielding sufficient evidence | Completed investigations | Results of completed investigations |                                                                                      |             |
|--------|-----------------------------------------------------------|--------------------------|-------------------------------------|--------------------------------------------------------------------------------------|-------------|
|        |                                                           |                          | discontinued                        | referred to public prosecutors' offices or BaFin's Division for administrative fines |             |
|        |                                                           |                          |                                     | Cases                                                                                | Individuals |
| 2024   | 18                                                        | 46                       | 30                                  | 16                                                                                   | 22          |
| 2023   | 14                                                        | 50                       | 40                                  | 10                                                                                   | 19          |
| 2022   | 22                                                        | 33                       | 19                                  | 14                                                                                   | 33          |

Source: BaFin

Table 11: Completed market manipulation proceedings with the public prosecutor's offices, courts and BaFin's Division for administrative fines

| Period | Total | Investigations discontinued |                                                           | Legally binding decisions |                                 |                                               |            |
|--------|-------|-----------------------------|-----------------------------------------------------------|---------------------------|---------------------------------|-----------------------------------------------|------------|
|        |       | Due to lack of evidence     | For reasons of expediency (in particular against payment) | Administrative fines      | Convictions resulting in a fine | Convictions resulting in a custodial sentence | Acquittals |
| 2024   | 47    | 26                          | 14                                                        | 0                         | 5                               | 2                                             | 0          |
| 2023   | 49    | 44                          | 4                                                         | 1                         | 0                               | 0                                             | 0          |
| 2022   | 80    | 54                          | 24                                                        | 0                         | 1                               | 1                                             | 0          |

Source: BaFin



Insider trading

BaFin works closely with the public prosecutor’s offices and the police to prosecute those who commit insider trading offences. Tables 12 and 13 show the trend in the numbers of insider trading investigations and completed insider trading proceedings in 2024.

Since the entry into force on 1 July 2017 of criminal law provisions enhancing the possibilities for asset recovery, all legal remedies have been exhausted in the majority of proceedings regarding insider trading offences. For this reason, it often takes longer for legally binding decisions to be made. These proceedings have not yet been included in BaFin’s statistics.

The courts sanction insider trading much more severely now than in the decades following the introduction of a legal ban in 1994. In recent years, for example, custodial sentences without probation were imposed in five cases in the first instance. There were also several suspended prison sentences. Following the

leading judgement by the Federal Court of Justice (*Bundesgerichtshof*) of 6 December 2023 regarding asset recovery in the case of insider trading, it is expected that the proceedings still pending will be concluded in the foreseeable future.

2.3.5 Financial reporting enforcement

In 2024, BaFin published 4 announcements regarding ad hoc inspections it had ordered. It also published 10 error findings. In the previous year, there were 3 announcements and 14 error findings.

Publication of financial reports

In 2024, BaFin conducted 889 examinations to establish whether issuers had published their financial reports on time (previous year: 854). BaFin launched 5 administrative procedures in 2024 to enforce mandatory publication of financial reports (see Table 14 on page 26). It found indications of breaches, which it pursued further in administrative fine proceedings, in 39 cases.

Table 12: Insider trading investigations

| Period | Insider trading analyses yielding sufficient evidence | Completed investigations | Results of completed investigations |                                                                                      |             |
|--------|-------------------------------------------------------|--------------------------|-------------------------------------|--------------------------------------------------------------------------------------|-------------|
|        |                                                       |                          | discontinued                        | referred to public prosecutors’ offices or BaFin’s Division for administrative fines |             |
|        |                                                       |                          |                                     | Cases                                                                                | Individuals |
| 2024   | 24                                                    | 20                       | 11                                  | 9                                                                                    | 48          |
| 2023   | 14                                                    | 15                       | 8                                   | 7                                                                                    | 15          |
| 2022   | 18                                                    | 12                       | 6                                   | 6                                                                                    | 16          |

Source: BaFin

Table 13: Completed insider trading proceedings with the public prosecutor’s offices, courts and BaFin’s Division for administrative fines

| Period | Total | Investigations discontinued |                                                           |                      | Legally binding decisions       |                                               |            |
|--------|-------|-----------------------------|-----------------------------------------------------------|----------------------|---------------------------------|-----------------------------------------------|------------|
|        |       | Due to lack of evidence     | For reasons of expediency (in particular against payment) | Administrative fines | Convictions resulting in a fine | Convictions resulting in a custodial sentence | Acquittals |
| 2024   | 37    | 21                          | 10                                                        | 0                    | 0                               | 4                                             | 2          |
| 2023   | 21    | 18                          | 3                                                         | 0                    | 0                               | 0                                             | 0          |
| 2022   | 18    | 6                           | 9                                                         | 0                    | 2                               | 1                                             | 0          |

Source: BaFin

**Table 14: Proceedings relating to the publication of financial reports in 2024 and 2023**

|                                                                                                                       | 2024 | 2023 |
|-----------------------------------------------------------------------------------------------------------------------|------|------|
| <b>Administrative proceedings</b>                                                                                     |      |      |
| Administrative proceedings launched                                                                                   | 5    | 5    |
| Administrative proceedings completed                                                                                  | 1    | 7    |
| Total proceedings pending                                                                                             | 5    | 1    |
| Threats of coercive fines                                                                                             | 3    | 2    |
| Impositions of coercive fines                                                                                         | 2    | 1    |
| <b>Publication of measures taken in accordance with section 124 of the Securities Trading Act (including updates)</b> |      |      |
| Number of companies affected                                                                                          | 3    | 2    |
| <b>Administrative offence proceedings</b>                                                                             |      |      |
| No financial report published online                                                                                  | 15   | 8    |
| No notification of publication published                                                                              | 24   | 19   |

Source: BaFin

2.3.6 Money laundering prevention

In 2024, BaFin again identified shortcomings in institutions’ money laundering prevention and therefore issued measures against these institutions. Due to persistent violations of the Money Laundering Act, measures were taken against senior managers. Seniors managers are responsible for ensuring a proper business organisation, which includes measures to prevent money laundering and terrorist financing.

To encourage institutions to deal with shortcomings in a timely and sustainable manner, BaFin issued several orders. These orders also provide for the imposition of coercive fines should institutions fail to adequately remedy shortcomings or fail to do so in a timely manner. Furthermore, BaFin has appointed auditing firms as special representatives to monitor and report on institutions’ efforts to remedy shortcomings.

At the end of 2024, there were special representatives at 7 institutions (previous year: 7). Of these, 3 had been appointed for the first time in 2024 (previous year: 3). The institutions concerned were extremely heterogeneous and had far-reaching structural deficits. The three newly appointed special representatives were given the powers of a senior manager in order

to support efforts to remedy the deficits. At three institutions, the special representatives’ terms of appointment ended in 2024.

2.3.7 Integrity of the financial system

2.3.7.1 Authorisation requirement

Anyone wishing to conduct banking, investment, insurance or e-money business, or to provide financial services, credit services, crowdfunding services or payment services in Germany may do so only with written authorisation from BaFin. Once such authorisation has been granted, the company concerned is subject to BaFin’s ongoing supervision. In 2024, BaFin received 833 authorisation requests (previous year: 841). As in the previous year, a large proportion of these requests related to payment services and crypto-based business models.

For young companies in the financial sector, the question of whether or not they require authorisation from BaFin for their planned business activities is crucial. BaFin developed the new “Pop-Up Embassy” format to make it easier for companies to communicate with BaFin. As part of this format, experts from various divisions at BaFin are available at events to answer specialised questions from fintechs. In 2024, Pop-Up Embassies were held at the fintech festival FIBE in Berlin and at the TechQuartier in Frankfurt am Main.

**Exemption from the authorisation requirement and ongoing supervision**

Where strict preconditions are met and only upon request, BaFin can exempt a company from the obligation to obtain authorisation in the case of business that is limited in scope (section 2 (4) of the Banking Act). This is only possible for as long as BaFin is of the opinion that the institution does not require supervision due to the nature of its business. In 2024, 154 institutions made use of the exemption (previous year: 163 institutions).

Under section 2 (5) of the Banking Act, BaFin can also exempt companies from third countries that are subject to equivalent supervision in their home countries. This makes additional supervision by BaFin unnecessary. Such exemptions have been granted for institutions from the USA, Canada, Australia, Switzerland and Singapore. In 2024, 114 institutions were granted an exemption under section 2 (5) of the Banking Act (previous year: 115 institutions).

2.3.7.2 Investigation of unauthorised business activities

Conducting business activities that are subject to the authorisation requirement without obtaining such authorisation is deemed to endanger the integrity of the financial system and is thus a criminal offence. For this reason, BaFin must be able to identify and permanently stop any breaches of the authorisation requirement as soon as possible. Lawmakers have given BaFin effective investigative powers to do this.

BaFin can investigate potential operators of unauthorised business activities and any companies that may be involved. This applies not just to the suspicious entity itself but also to current and former management board members and employees. BaFin can perform on-site investigations of suspicious entities itself, or can have these investigations performed by the Deutsche Bundesbank. Specifically, it can search business premises, outbuildings and individuals. Normally such searches are conducted on the basis of a judicial order but in exceptional cases, if there is a need for immediate action, BaFin may act on its own authority. BaFin may also search private homes. However, a judicial order is always required in this case.

BaFin announces the measures it has taken and the warnings it has issued on its [website](#), as this is in the interests of consumer protection.

In 2024, the focus of BaFin’s investigations into unauthorised business remained on combating unauthorised, fraudulent online trading platforms, alongside fraudulent offers of pre-IPO shares and illegal term deposits. These fraudulent activities were often accompanied by identify theft.

Once again, there was a large number of suspected violations in 2024, as can be seen from Table XY on page XY. In fact, the number of formal measures reached a new record level.

Affected parties can file objections to formal measures and administrative enforcement measures imposed by BaFin.<sup>7</sup> A total of 24 objection notices were issued in 2024 (previous year: 23).

7 See Chapter I.2.3.9 Objections, summary and legal proceedings against measures.

Table 15: Investigations of unauthorised business activities\* in 2024 and 2023

|                          | 2024  | 2023  |
|--------------------------|-------|-------|
| New suspected violations | 1,325 | 1,146 |
| Searches                 | 11    | 10    |
| Formal measures          | 611   | 389   |

\* The statistics cover formal intervention measures, i.e. orders to cease activities and wind up business, the appointment of liquidators, warnings and measures taken against companies involved in unauthorised business, such as internet providers and banks. They do not include investigative measures with the exception of searches, or administrative enforcement measures.

Source: BaFin

2.3.7.3 Day of action: securing crypto ATMs

In August 2024, BaFin secured 13 crypto ATMs as part of a Germany-wide operation at a total of 35 locations. These ATMs could be used to trade in bitcoin and other cryptoassets and were operated without the required authorisation from BaFin. BaFin was supported by the police and Deutsche Bundesbank and took action against the operators of the machines in coordination with the German Federal Criminal Police Office (*Bundeskriminalamt*).

Converting euros into cryptocurrencies and vice versa constitutes commercial proprietary trading or banking business. Under section 32 of the Banking Act, the operators require authorisation from BaFin for such activities. Crypto ATMs that are operated illegally attract users with criminal intentions and harbour the risk of money laundering.

2.3.8 (Fraudulent) offers to the public

In 2024, BaFin published 26 warnings regarding its suspicions that offers were being made to the public without the required prospectus (prior year: 36). In addition, the number of requests for information and documentation rose from 14 to 26. BaFin referred 11 cases from its market supervision to the prosecuting authorities (previous year: 26) In one case, BaFin issued a final and binding order prohibiting the offering of securities to the public.

Examples from BaFin’s supervisory practice

In 2024, BaFin again investigated public offers of securities and capital investments with suspected criminal backgrounds. In many such cases, BaFin is able to provide effective support to investigating authorities. For example, in one case BaFin forwarded information

indicating fraudulent behaviour to the responsible public prosecutor’s office. This information led to an extensive investigation into suspected fraud running into hundreds of millions of euros. The proceedings had not yet been concluded at the time of publication.

In another case, BaFin prohibited an offering of securities to the public made without the required prospectus. According to the offeror’s own statement, they had issued tokenised bearer bonds. However, they had not considered that securities tokens are, under certain conditions, subject to the prospectus requirement. The offeror had contacted numerous small investors and promised them an investment opportunity in hotel complexes at sought-after locations. The bearer bonds were to be tokenised, i.e. represented digitally on a blockchain. BaFin’s order prohibiting the offering is final and binding.

**BaFin does not tolerate circumvention of the prospectus requirement**  
In 2024, BaFin paid particular attention to providers of capital investments that invoked a statutory exemption from the prospectus requirement. It increasingly took action against offers to the public for which providers had made unauthorised use of the prospectus exemption that applies to offers of no more than 20 units in accordance with section 2 (1) no. 3a of the German Capital Investment Act (*Vermögensanlagengesetz*). BaFin has stated, for

example in its capital investment workshop, that exceptions must be interpreted narrowly and that it will take decisive action against providers who circumvent the prospectus requirement by making improper use of the exemptions.

### 2.3.9 Objections, summary and legal proceedings against measures

**Objection proceedings**  
BaFin can issue administrative acts that place a burden on the addressee, such as capital add-ons, the appointment of special representatives, orders to wind-up business operations and prohibitions. Affected parties can file objections against such unfavourable measures (see Table 16) within one month of notification of the administrative act.

**Summary and legal proceedings**  
Objections to and rescissory actions (*Anfechtungsklagen*) against unfavourable administrative acts have suspensory effect (section 80 (1) of the German Code of Administrative Court Procedure (*Verwaltungsgerichtsordnung*)). In such cases, BaFin is not authorised to enforce the administrative act and may not take any enforcement measures.

However, there are exceptions: the suspensory effect may be revoked by law or by a special order from BaFin. In this case, the administrative act must be

Table 16: Objection proceedings in 2024 and 2023

| Objection proceedings               | 2024 |           |         | 2023 |           |         |
|-------------------------------------|------|-----------|---------|------|-----------|---------|
|                                     | New  | Completed | Ongoing | New  | Completed | Ongoing |
| Banking supervision                 | 15   | 12        | 12      | 16   | 19        | 12      |
| Insurance supervision               | 1    | 2         | 1       | 1    | 14        | 2       |
| Investment firm supervision         | 11   | 5         | 15      | 6    | 1         | 8       |
| Market supervision                  | 7    | 15        | 6       | 32   | 45        | 14      |
| Anti-money laundering supervision   | 3    | 2         | 1       | 0    | 0         | 2       |
| Resolution                          | 2    | 5         | 68      | 25   | 65        | 71      |
| thereof objections to the bank levy | 0    | 3         | 66      | 24   | 65        | 69      |
| Consumer protection                 | 950  | 0         | 2,092   | 0    | 0         | 1,142   |
| Financial reporting enforcement     | 1    | 2         | 4       | 2    | 9         | 5       |
| Unauthorised business               | 42   | 45        | 63      | 24   | 46        | 66      |

Source: BaFin

**Table 17: First- and second-instance summary proceedings in 2024 and 2023**

| First- and second-instance summary proceedings | 2024 |           |         | 2023 |           |         |
|------------------------------------------------|------|-----------|---------|------|-----------|---------|
|                                                | New  | Completed | Ongoing | New  | Completed | Ongoing |
| Banking supervision                            | 9    | 4         | 2       | 1    | 1         | 1       |
| Insurance supervision                          | 0    | 0         | 0       | 0    | 0         | 0       |
| Investment firm supervision                    | 1    | 4*        | 3       | 3    | 2         | 6       |
| Market supervision                             | 8    | 15*       | 6       | 12   | 7         | 13      |
| Anti-money laundering supervision              | 0    | 2         | 1       | 0    | 0         | 0       |
| Consumer protection                            | 0    | 1         | 0       | 1    | 5         | 1       |
| Financial reporting enforcement                | 0    | 0         | 0       | 0    | 0         | 0       |
| Unauthorised business                          | 7    | 8         | 9       | 6    | 9         | 10      |

\* Due to a change in the statistical recording of completed cases, this figure also includes some earlier court decisions that were not previously recorded.

Source: BaFin

**Table 18: First- and second-instance legal proceedings in 2024 and 2023**

| First- and second-instance legal proceedings | 2024 |           |         | 2023 |           |         |
|----------------------------------------------|------|-----------|---------|------|-----------|---------|
|                                              | New  | Completed | Ongoing | New  | Completed | Ongoing |
| Banking supervision                          | 7    | 3         | 15      | 0    | 2         | 10      |
| Insurance supervision                        | 2    | 0         | 9       | 2    | 21        | 6       |
| Investment firm supervision                  | 1    | 2*        | 3       | 2    | 1         | 4       |
| Market supervision                           | 3    | 5*        | 21      | 6    | 2         | 23      |
| Anti-money laundering supervision            | 1    | 1         | 0       | 0    | 0         | 1       |
| Consumer protection                          | 1    | 2*        | 3       | 1    | 7         | 4       |
| Financial reporting enforcement              | 0    | 2*        | 1       | 0    | 1         | 3       |
| Unauthorised business                        | 9    | 19        | 54      | 6    | 9         | 10      |

\* Due to a change in the statistical recording of completed case, this figure also includes some earlier court decisions that were not previously recorded.

Source: BaFin

complied with even if an objection has been filed. For example, measures imposed by BaFin against the operators of unauthorised business activities are immediately enforceable by law. Parties affected by such measures can merely request an administrative court (*Verwaltungsgericht*), in summary proceedings, to order that their legal remedies have a suspensory effect. Table 17 shows the number of times this happened in 2024.

If BaFin rejects an objection, the affected party can bring legal proceedings before the administrative court (see Table 18). The number of new proceedings fluctuates from year to year. BaFin cannot influence this. Court cases can last for several years.



### 2.3.10 Objection proceedings under the Act on Breaches of Administrative Regulations

Affected parties can submit objections against administrative fine orders to BaFin within two weeks of being served with these orders. In 2024, 11 affected parties exercised this right (previous year: 18). BaFin rescinded three administrative fine orders in full in 2024.

Where an objection is impermissible, the affected party receives a dismissal notice (*Verwerfungsbescheid*) from BaFin. This happened in five cases in 2024. Where an objection is unfounded – which applied to three cases in 2024 – BaFin passes the proceedings on to the public prosecutor's office at Frankfurt am Main Regional Court (*Landgericht*). The public prosecutor's office performs its own comprehensive examination of the facts of the case and the legal situation. At this point, BaFin is no longer responsible for processing the objection.

If the public prosecutor's office does not discontinue the proceedings or make further investigations, it submits the files to the Local Court (*Amtsgericht*). A full trial is held if the Court does not either refer the case back to BaFin for further clarification of the facts or decide it by way of a resolution without a full trial.<sup>8</sup> Only the public prosecutor's office, the parties affected or the parties concerned can contest a decision by the Local Court, not BaFin.

## 2.4 Consumer protection

### 2.4.1 New bases of supervisory practice

#### **BaFin comparison website for payment accounts**

On 15 March 2024, BaFin published the Regulation on the reports on payment accounts for the comparison website (*Vergleichswebsitesmeldeverordnung*). This regulation specifies the comparison criteria and data that payment service providers must report to BaFin so that consumers can use BaFin's comparison website to compare current accounts and basic accounts offered in Germany. BaFin's comparison website offers a broad and neutral overview of accounts and providers. It is free to use. Launch date: 15 January 2025.

<sup>8</sup> Objections do not necessarily have to be completed in the year in which they are filed. Especially where a court ruling is required, it is regularly the case that objections are decided in the following year at the earliest. If the Local Court's ruling is objected on a point of law, proceedings can be expected to take several years. As a result, BaFin has not disclosed any figures on this.

#### **MaComp Circular updated**

In 2024, BaFin made two updates to the Minimum Requirements for the Compliance Function and Additional Requirements Governing Rules of Conduct, Organisation and Transparency (*Mindestanforderungen an die Compliance-Funktion und weitere Verhaltens-, Organisations- und Transparenzpflichten* – MaComp).

In February 2024, BaFin transposed the Guidelines on certain aspects of the MIFID II remuneration requirements (ESMA/35-43-3565) issued by the European Securities and Markets Authority (ESMA) into special section (BT) 8 of the MaComp. In September 2024, BaFin incorporated the ESMA Guidelines on MiFID II product governance requirements and on certain aspects of the MiFID II suitability requirements into special sections BT 5 and BT 7.1 of the MaComp.

### 2.4.2 Product intervention

BaFin can use product interventions to restrict or prohibit the marketing, distribution or sale of a financial instrument where there are significant investor protection concerns. In 2024, BaFin initiated 39 proceedings designed to examine significant investor protection concerns (previous year: 37 proceedings). 18 proceedings were completed in the reporting period. In 3 of the 18 proceedings, the providers discontinued their offering during the ongoing product intervention procedure after BaFin confronted the providers with its investor protection concerns. One further provider made adjustments to the product offered. In the other cases, further examination showed that the preconditions for product intervention were not met.

In a further five cases, providers discontinued or adjusted their offerings during the ongoing product intervention proceedings. BaFin had initiated proceedings against these providers in 2023 and 2022 and concluded them in 2024.

### 2.4.3 Consumer protection-driven supervision of compliance with rules of conduct and market supervision

#### **General administrative act on premium-aided savings plans amended**

In October 2024, BaFin updated its General administrative act on premium-aided savings plans. This was against the backdrop of two judgements reached by the Federal Court of Justice (*Bundesgerichtshof*) in July 2024, which for the first time recognised a specific

reference interest rate<sup>9</sup> in order to recalculate interest on premium-aided savings plans with ineffective interest adjustment clauses. At the same time, the court left open the extent to which other interest rates can be used. A generally binding supplementary contractual interpretation by the court, to which BaFin referred in its General administrative act in June 2021, is thus no longer expected. BaFin upheld the regulatory content of the order in its updated administrative act and amended the wording so that further supplementary contractual interpretations by civil courts are covered by the general administrative act.

At the time of publication, the general administrative act was still subject to legal clarification in court. In October 2024, the Frankfurt am Main Administrative Court (*Verwaltungsgericht Frankfurt*) upheld the action brought by six lead claimants and overturned the general administrative act for them. The court did not see any shortcomings relevant to consumer protection within the meaning of the legal basis for BaFin's supervisory powers. BaFin has appealed against this ruling.

#### **Breaches of obligations under the Securities Trading Act: BaFin issues administrative fines**

In May 2024, BaFin issued an administrative fine amounting to €12,975,000 against an institution that had breached obligations under the Securities Trading Act (section 80 (2) sentence 3 nos. 1 and 2 of the Securities Trading Act). The institution did not have appropriate systems and risk controls in place to ensure that its trading systems are subject to appropriate trading thresholds and limits. The institution thus failed to detect a manual input error in the order system, which led to erroneous orders. This resulted in market disruption.

In July 2024, BaFin also imposed an administrative fine amounting to €830,000 against the German branch of an institution that had breached its obligations under the Securities Trading Act (section 63 (7) to (9), section 64 (3)), among other things. In the 2019/2020 financial year, the institution in question had, in some cases, failed to inform its clients about all costs and associated charges for specific financial instruments. Furthermore, the institution provided investment services without first adequately assessing relevant information obtained from its clients regarding their financial situation as part of the suitability assessment.

<sup>9</sup> Yields on listed German government bonds with remaining maturity of 8 to 15 years (Deutsche Bundesbank time series with the former identifier WU9554).

## 2.4.4 Market monitoring

### **Markey survey on certificates**

In 2024, BaFin investigated the sale of interest rate and express certificates, which had increasingly been sold to consumers following the interest rate turnaround. To this end, it conducted market surveys of manufacturers and distributors as well as consumers. In one market survey, BaFin investigated the extent to which providers complied with the legal requirements regarding the design of investment certificates and how they distributed these products. For the first time, BaFin surveyed customers of banks and savings banks who had purchased such products.

In the course of these investigations BaFin found no evidence that banks and savings banks had pressured customers interested in investment products into purchasing certificates.

### **Markey survey on turbo certificates**

BaFin conducted a further market survey on turbo certificates in 2024. Turbo certificates are leveraged products that are traded on the stock exchange. The survey revealed that three out of four customers lost money when trading in turbo certificates. Total losses in the period from 2019 to 2023 amounted to around €3.4 billion.

Based on the information obtained, BaFin launched a process to review possible product intervention measures. As part of this process, BaFin will investigate whether turbo certificates are associated with significant investor protection concerns for retail customers.

### **Online survey on the relevance of social media for financial topics**

In May 2024, BaFin surveyed a total of 1,000 consumers between the ages of 18 and 45 about how they obtain information on financial matters.

The survey showed that social media users were significantly more likely to invest money in high-risk products such as cryptoassets. The survey also revealed that influencers do not only provide information: they also manage to encourage young people to buy the products they advertise.

### **Mystery shopping for insurance-based investment products**

In a mystery shopping campaign coordinated by EIOPA, BaFin examined the distribution of insurance-based investment products in 2024. The campaign looked at life insurance and pension insurance policies, whose

values depend on market fluctuations. The focus was on insurers' obligation to provide advice and information to customers. The results were not yet available at the time of publication.

Survey on over-indebtedness in real estate financing

In the autumn of 2024, BaFin surveyed over 3,000 consumers on the subject of real estate financing.

This survey revealed, for example, that around four in five respondents seeking a property loan get professional advice. Around 90% were satisfied with the advice they received and believed that they were well informed about the risks associated with the loan. More than half of those currently financing a property loan found it difficult to cover their costs of living alongside monthly loan payments. Around 15% of the

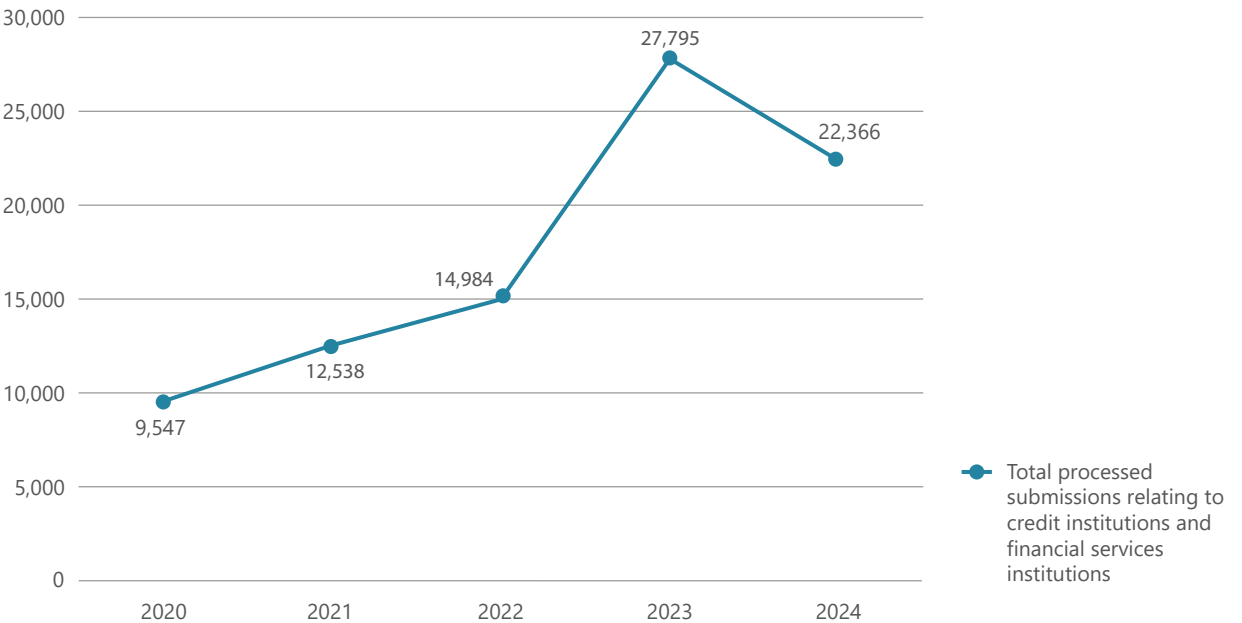
respondents paying off loans alone reported that they spend more than 40% of their monthly net income on loan payments.

2.4.5 Consumer complaints and enquiries

Credit institutions and financial services providers

The number of complaints about credit institutions and financial services institutions was lower than in the previous year but remained high in 2024: BaFin received a total of 22,366 complaints and enquiries (see Figure 1). Of this total, 22,123 were complaints (see Table 19) and 243 were enquiries. A lot of complaints related to branches of one credit institution. This issue was also a concern for BaFin in 2023. There were also a large number of complains about the limited customer service provided by online institutions.

Figure 1: Complaints and enquiries relating to credit institutions and financial services institutions since 2020



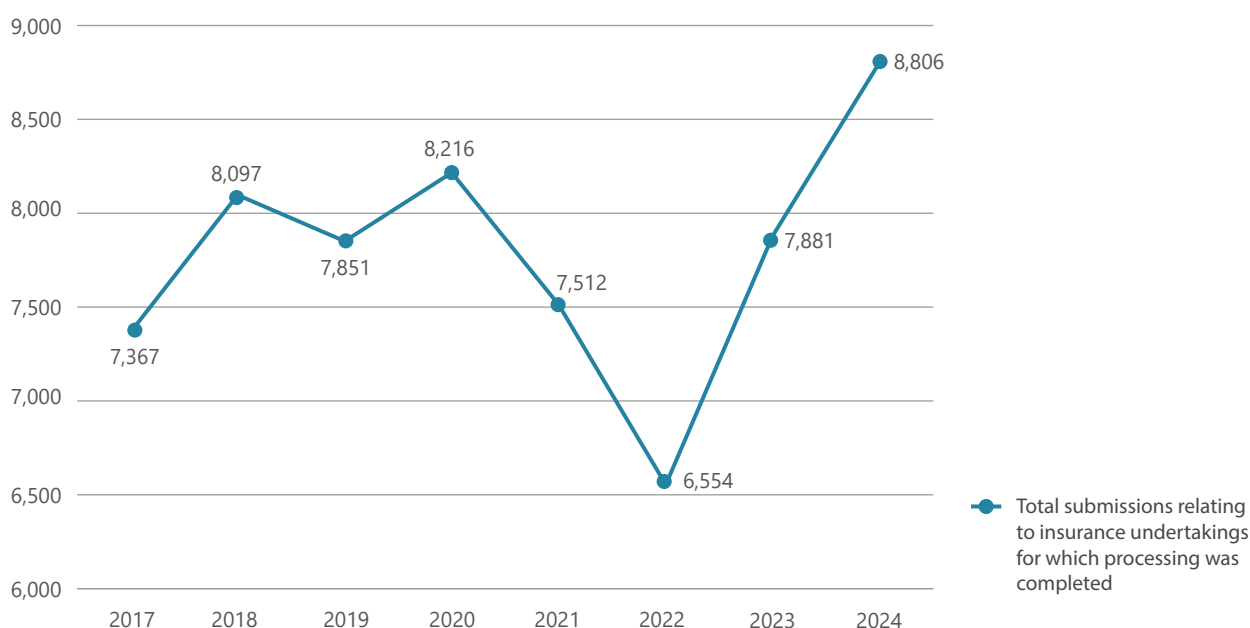
Source: BaFin

Table 19: Complaints by groups of institutions, 2024 and 2023

| Year | Private banks | Savings banks | Public sector banks | Cooperative banks | Mortgage banks | Bauspar-kassen | Financial services providers* | Foreign banks | Total number of complaints |
|------|---------------|---------------|---------------------|-------------------|----------------|----------------|-------------------------------|---------------|----------------------------|
| 2024 | 15,081        | 1,857         | 302                 | 1,533             | 0              | 312            | 1,315                         | 1,723         | 22,123                     |
| 2023 | 20,238        | 2,216         | 262                 | 1,920             | 2              | 388            | 1,189                         | 1,321         | 27,536                     |

\* For example leasing and factoring institutions.  
Source: BaFin

**Figure 2: Complaints and enquiries relating to insurance companies from 2017 onwards**



Source: BaFin

**Table 20: Complaints and enquiries by insurance class in 2024 and 2023**

| Year | Life  | Motor | Health | Accident | Liability | Legal expenses | Building/contents | Other classes | Miscellaneous | Total          |
|------|-------|-------|--------|----------|-----------|----------------|-------------------|---------------|---------------|----------------|
| 2024 | 1,655 | 2,987 | 1,593  | 133      | 311       | 480            | 709               | 748           | 190           | <b>8,806*</b>  |
| 2023 | 1,761 | 2,182 | 1,161  | 155      | 311       | 417            | 587               | 1,102         | 205           | <b>7,881**</b> |

\* Includes 340 queries and 27 petitions.

\*\* Includes 201 queries and 33 petitions.

Source: BaFin

### Insurance companies

In 2024, BaFin handled 8,439 complaints, 340 enquiries and 27 petitions relating to insurance companies (see Figure 2). In the previous year, there were 7,647 complaints, 201 enquiries and 33 petitions. Table 20 shows the number of complaints per insurance class in 2024. As in the previous year, the complaints most frequently related to the way in which claims were handled, such as delays in processing or in the payment of insurance benefits. In 2024, a large portion of these complaints again related to motor insurance. There was a notable increase in complaints relating to private health insurance.

BaFin has published its most recent complaints statistics online since 2019, broken down by insurance company and class.

### Securities business

In 2024, BaFin received a total of 5,910 complaints (previous year: 2,835) and 247 enquiries (previous year: 241) from investors relating to securities transactions. Of these, complaints about delayed or incorrect account transfers, primarily at two institutions, made up the largest share. There were also numerous complaints about problems reaching customer services and long processing times for customer enquiries.

As in 2023, numerous investors also complained about the incorrect transmission of cost bases and the transfer of US depositary receipts.

### Investment firms and asset managers

BaFin also received a total of 105 complaints and 61 queries relating to investment firms and German asset managers in 2024 (previous year: 182 complaints and 42 enquiries). These focussed on distribution

authorisations and the liquidation and dissolution of open-ended real estate funds, for example. BaFin also received a total of 8 enquiries and complaints about Riester contracts.

In addition, BaFin received around 200 complaints about closed-ended retail alternative investment funds (AIFs). These funds are managed by the same asset manager.

#### **BaFin consumer helpline**

The consumer hotline received 33,650 calls in 2024 (previous year: 28,261). Of these calls, 15.79% related to the insurance sector, 56.77% to the banking sector and 7.53% to investment firms.

### **2.4.6 Consumer empowerment**

In 2024, BaFin provided a wide range of information to consumers in order to strengthen their financial literacy. Together with the German National Association of Senior Citizens' Organisations (*Bundesarbeitsgemeinschaft der Senioren-Organisationen – BAGSO*), BaFin published three editions of the short publication "Finanzen. Information. Tipps" (Finance.Information.Tips). The publications focussed on the topics digital financial transactions, fraud on the financial market and investments.

BaFin also provided consumers with information via webinars and at fairs and exhibitions. For example, in October 2024, BaFin had a stand at the Berlin festival for financial education "*Mit Geld und Verstand*" (With Money and Sense).

## **2.5 Digitalisation**

### **2.5.1 DORA**

Regulation (EU) 2022/2554 on digital operational resilience for the financial sector (Digital Operational Resilience Act – DORA) aims to make the European financial sector more resilient to cyberattacks and risks from information and communications technology (ICT). DORA affects every part of the financial sector. It entered into force on 17 January 2023 and has been applicable since 17 January 2025. DORA thus now serves as the basis for supervisors with respect to IT/cybersecurity.

In Germany alone, DORA is estimated to impact more than 3,600 entities in the financial sector, most of which are already supervised by BaFin. However, DORA also increases the supervisory focus on ICT third-party service providers. DORA creates a European supervisory

framework for ICT third-party service providers that are critical for the European financial sector with the involvement of the national supervisory authorities, including BaFin. BaFin spent 2024 preparing intensively for the new tasks it will face with DORA.

The European Commission issued numerous regulatory technical standards (RTS) and implementing technical standards (ITS) in 2024 that define the requirements of DORA in more detail. German lawmakers also took steps to transpose DORA into national law with the German Financial Market Digitisation Act (*Finanzmarktdigitalisierungsgesetz*).

BaFin has played a major role in shaping the rules surrounding DORA, such as by collaborating with the European Supervisory Authorities on the drafts of Level 2 and Level 3 texts (RTS, ITS, guidelines). BaFin implemented various projects in preparation for DORA, such as by providing technical solutions for the reporting requirements under DORA and adapting the internal inspection guidelines for supervisory IT inspections. In mid-2024, BaFin published an overview of the contractual details that must be agreed between the financial entity and the ICT third-party service provider in accordance with DORA.

#### **BaFin provides extensive information**

BaFin already created a section on its website dedicated to DORA-related issues in 2023. It continuously expanded and updated this section in 2024 in order to inform supervised entities about the current state of regulation and to comment on questions from the industry in FAQs. In addition, numerous expert articles and background interviews on DORA have been published on the BaFin website. In its cross-sector digital conference on IT supervision in the financial sector in September 2024, BaFin informed more than 1,000 participants about the EU Regulation and answered questions.

### **2.5.2 MiCAR**

Regulation (EU) 2023/1114, the Markets in Crypto-Assets Regulation (MiCAR), entered into force on 29 June 2023. It creates a harmonised European regulatory framework for crypto-assets and aims to maintain financial stability and investor protection, promote innovation and unlock the full potential of crypto-assets.

MiCAR has been fully applicable since 30 December 2024. BaFin has since been responsible for supervising issuers of asset-referenced tokens and e-money tokens as well as crypto-asset service providers.



### **BaFin publishes comprehensive information**

BaFin has published comprehensive [information](#) regarding MiCAR on its website since mid-2024, including a roadmap for different categories of applicants and institutions, regulatory requirements for institutions that provide crypto-asset services, and a list of FAQs. The information is updated on an ongoing basis.

The national regulations that have been enacted alongside MiCAR can be found in the [Financial Market Digitisation Act](#).

## **2.5.3 Automated data analyses**

The “New Internal Model QRTs” project group at the European Insurance and Occupational Pensions Authority (EIOPA) has developed an interactive app intended to support the data-based supervision of internal models. It does so by visualising and analysing data that users report to the supervisory authority using the new quantitative reporting templates (QRTs) for internal models.

The national competent authorities use the app in their ongoing supervision of insurers’ internal models. For example, the app shows the risk profile of individual insurance undertakings in each risk category and how their risk and exposure parameters have developed. In 2025, the app is to be expanded to include cross-comparisons between insurance undertakings. BaFin provided one of the project group’s leaders and played a key role in the development of the app.

## **2.5.4 Machine learning in internal models**

Under the joint leadership of BaFin, a working group at the European Central Bank (ECB) has defined supervisory expectations for the use of machine learning in the internal models of credit institutions. These expectations were presented to the industry at a roundtable in October 2024 and discussed in workshops with institutions. The supervisory expectations will be incorporated into the revision of the ECB Guide to Internal Models in spring 2025. The ECB working group consisted of ECB employees and representatives of national competent authorities.

## **2.6 Sustainable finance**

### **2.6.1 EU Disclosure Regulation**

#### **BaFin sample on Disclosure Regulation**

BaFin collected a non-representative sample in 2024 on implementation of the EU Sustainable Finance Disclosure

Regulation (SFDR). This sample revealed that financial market participants often use broadly formulated pre-contractual information, making it difficult for investors to understand the environmental or social characteristics and objectives of a given financial product. In addition, providers often use ESG ratings, which are not always suitable for adequately describing the sustainability characteristics of a financial product. BaFin requires fund providers and other financial services providers to not apply ESG ratings without careful consideration.

### **BaFin calls for easy-to-understand product categories**

In 2024, BaFin [called for](#) the creation of easily understandable product categories with clear criteria that are linked to existing sustainability definitions such as the EU taxonomy. Providers should only be allowed to advertise financial products as sustainable if they have a high minimum proportion of sustainable or transformative investments. This is set out in the [ESMA Guidelines](#) on fund names, for example.

#### **Q&As developed for SFDR**

BaFin developed three sets of questions and answers (Q&As) in 2024 to support German financial market participants in fulfilling the SFDR requirements. These Q&As cover the term “consider” in the context of principal adverse impacts (PAIs), how to handle derivatives in connection with the Disclosure Regulation and the periodic reports that institutions are required to publish. BaFin also recommends clearly highlighting controversial investments, such as those in the defence sector, in products advertised as sustainable.

### **2.6.2 Management of climate and environmental risks**

In 2024, BaFin conducted a non-representative survey of banks and insurance undertakings on the topic of physical climate risks. It revealed that the companies surveyed do address ESG risks in principle. However, banks in particular are still in the early stages in some cases. The survey also showed that data availability remains a challenge for many companies.

### **2.6.3 Preparation for the Corporate Sustainability Reporting Directive**

As part of the pending transposition of the Corporate Sustainability Reporting Directive (CSRD), BaFin is expected to be responsible for reviewing the sustainability reports submitted by publicly traded issuers. It is therefore keeping a close eye on current regulatory developments at national and European level.

BaFin set up a specialised unit in 2024 to prepare for this task. As soon as the legal framework is in place, BaFin will commence its supervisory activities.

## 2.7 BaFin's international role

### 2.7.1 Bilateral and multilateral cooperation

BaFin works together closely with foreign supervisory authorities on the basis of memoranda of understanding (MoUs). Within the EU, cooperation takes place within the framework of the banking union and of the European System of Financial Supervision (ESFS). BaFin contributes its expert knowledge in a large number of working groups in European and global bodies.

#### European cooperation within the banking union

Within the banking union, BaFin is part of the Single Supervisory Mechanism (SSM) and the Single Resolution Mechanism (SRM).

BaFin President Mark Branson is a member of the SSM's Supervisory Board. Birgit Rodolphe, BaFin's Chief Executive Director of Resolution and Prevention of Money Laundering, is a Board Member of the Single Resolution Board (SRB).

#### The European System of Financial Supervision

The European System of Financial Supervision (ESFS) comprises the three European Supervisory Authorities (ESAs) and the European Systemic Risk Board (ESRB), in which BaFin is represented at management and working level.

#### Technical cooperation

BaFin was involved in numerous bilateral projects in 2024, such as its administrative partnership with the Ukrainian securities regulator NSSMC. BaFin and the NSSMC conducted four workshops, and BaFin invited its Ukrainian colleagues for a study visit. BaFin organised workshops for the National Bank of Ukraine (NBU) on topics including non-bank financial intermediation (NBFI) and insurance supervision.

### 2.7.2 Work by the European Supervisory Authorities and the European Financial Stability Committee

#### The EBA

The European Banking Authority (EBA) focussed on implementing mandates from the banking package, which includes the amended Capital Requirements Regulation (CRR) and the amended Capital Requirements Directive (CRD). The EBA divided the large number of

tasks associated with this package into two phases. In the first phase, the EBA addressed the mandates for the final implementation of Basel III in the European Union. Phase 2 focussed on additional EU-specific reporting requirements and political mandates.

In 2024, the EBA also continued to prepare for the application of MiCAR and DORA. In both cases, the EBA is taking on direct supervisory functions for the first time and specifying the legal requirements in Level 2 and Level 3 texts.

Together with the other European Supervisory Authorities and the European Central Bank, the EBA contributed to the EU's cross-sectoral "Fit for 55" climate scenario analysis. The results were published on the EBA website. The EBA also developed guidelines for the management of ESG risks, which entered consultation at the beginning of the year.

Raimund Röseler, Chief Executive Director of Banking Supervision, represented BaFin on the Board of Supervisors and the Management Board of the EBA, and Chief Executive Director Birgit Rodolphe represented BaFin on the EBA's Resolution Committee.

#### EIOPA

The European Insurance and Occupational Pensions Authority (EIOPA) conducted its regular stress test in 2024 and published the results, which show that the European insurance industry as a whole is well capitalised and has sufficient liquid funds. The results also show that the German undertakings involved in the stress test have sufficient liquid funds to cover their liquidity requirements in a stress scenario.

EIOPA also published a report on the prudential treatment of sustainability risks for insurers and proposed higher capital requirements for fossil fuel equities and bonds. In addition, EIOPA published an opinion on the (re)calibration of the NatCat standard formula. In order to close insurance coverage gaps for natural disasters, EIOPA plans to act more as a data hub in the future.

EIOPA's benchmark methodology published in 2024 addresses the topic of adequate value for money, an important focus in BaFin's conduct of business supervision.

BaFin's Chief Executive Director of Insurance and Pension Funds Supervision, Julia Wiens, is a member of EIOPA's Board of Supervisors and was elected to EIOPA's Management Board in November 2024.

## ESMA

The European Securities and Markets Authority (ESMA) sent a clear signal in 2024 that progress is needed in developing the Single Market: ESMA addressed 20 concrete proposals on this subject to the European Commission and legislators in Brussels.

ESMA delivered three important products relating to sustainability in 2024: the guidelines on fund names, the final report on greenwashing and a vision for a sustainable future. With regard to market infrastructure, ESMA recommends shortening the standard settlement cycle for the EU to align with important financial markets abroad. This would speed up the settlement of transactions from two days (T+2) to one day (T+1).

ESMA confirmed in 2024 that BaFin had successfully implemented the lessons learnt from the Wirecard AG case in its follow-up to the 2020 peer review. In its final report, ESMA praised the efforts taken by German lawmakers and BaFin. In particular, ESMA emphasised that BaFin has been given the necessary powers of intervention and that its new organisational structure fosters a better exchange of information.

BaFin's Chief Executive Director of Securities Supervision/Asset Management, Dr Thorsten Pötzsch, is a member of ESMA's Board of Supervisors, a member of ESMA's Management Board and Chairman of the ESMA Sustainability Standing Committee.

## The ESRB

The European Systemic Risk Board (ESRB) published a report in 2024 analysing suitable instruments as part of its strategy to strengthen the European financial sector against cyber risks. It focussed on measures for exchanging information and coordinating at the national and European level. The ESRB also addressed possible backup systems for critical functions in the event of major cyber incidents.

The ESRB also continued its work on measuring systemic liquidity risks and published a final report in early 2025.

BaFin participates in the ESRB working groups to analyse current topics such as stress test scenarios and non-bank financial intermediation (NBFIs).

BaFin President Mark Branson represents BaFin as a member of the General Board of the ESRB.

## 2.7.3 Work by global standard-setters

BaFin is also a member of a number of global standard-setters. Its relevant Chief Executive Directors are members of the top-level bodies of these organisations. BaFin President Mark Branson represents BaFin on the Financial Stability Board Plenary.

### The BCBS

The Basel Committee on Banking Supervision (BCBS) celebrated its 50th anniversary at the 23rd International Conference of Banking Supervisors on 24-25 April 2024. At this meeting, representatives of supervisory authorities and central banks from over 90 jurisdictions adopted the revised Basel Core Principles, which represent the global standard for sound banking regulation and supervision. These principles represent the minimum standard for financial systems and are used by the International Monetary Fund, among others, to assess the effectiveness of the banking sector.

In 2024, the members of the BCBS continued to address the turbulence faced by the banking sector in 2023. The Committee monitored potential risks to financial stability and analysed liquidity and interest rate risks. It also discussed the experiences of supervisors from the member states.

The BCBS also continued to monitor implementation of the final Basel III reforms in 2024. Despite delays, the EU agreed on the corresponding revision of the Capital Requirements Regulation (CRR) in 2024. As a result, the Basel reforms were applied in Europe starting on 1 January 2025. Transitional periods apply until the end of 2032 to help banks with the implementation.

In various consultation papers, the BCBS discussed topics such as proposals for solving the windowdressing problem when identifying global systemically important banks. This refers to the phenomenon of banks structuring their balance sheets using legally permitted transactions before the balance sheet date as follows: they create the impression that their global systemic relevance is lower and that lower systemic risk buffers are therefore justified. The BCBS is attempting to close this loophole with the reform.

Chief Executive Director Raimund Röseler represented BaFin on the Basel Committee on Banking Supervision.

### The IAIS

The International Association of Insurance Supervisors (IAIS) finalised the Insurance Capital Standard (ICS) in 2024. As a prescribed capital requirement (PCR), the

ICS is intended to standardise calculation of the capital requirements for internationally active insurance groups. The implementation methodology will be developed in the coming years.

In 2024, the IAIS also published revised Insurance Core Principles (ICPs) on topics such as liquidity, counterparty risk, valuation methods, capital requirements, recovery and resolution, and climate risks.

In terms of consumer protection, the Association focussed on the topic of diversity, equity and inclusion (DEI) in undertakings.

Chief Executive Director Julia Wiens was elected to the Executive Committee of the IAIS in 2024.

### **IOSCO**

The International Organization of Securities Commissions (IOSCO) addressed current developments in the fields of artificial intelligence and cryptoassets in 2024. It also focussed on supervisory approaches to transition plans and financial products advertised as being sustainable.

An additional priority for IOSCO was protection against increasing online fraud. Young consumers in particular need to be educated about the risks posed by influencers and gamification, meaning apps that use playful elements to introduce users to capital market trading.

As one of the main users of the Multilateral Memorandum of Understanding Concerning Consultation and Cooperation and the Exchange of Information (MMoU), BaFin cooperated with other members in 2024 to promote consistent compliance with the MMoU with a new compliance manual and to take action against violations more quickly.

Chief Executive Director Dr Thorsten Pötzsch represents BaFin on the IOSCO Board.

### **The FSB**

The Financial Stability Board (FSB) continued its analysis of the bank failures that occurred in the US and Switzerland in March 2023. It examined which financial institutions – besides banks – bear increased risks due to high interest rates. Another topic of discussion was the impact of social media on bank runs.

The key topics for the FSB remained the non-bank financial intermediary sector, digital innovations, financial risks from climate change, cross-border payments and the resolvability of central counterparties.

BaFin President Mark Branson represents BaFin on the FSB Plenary.

# Supervision of companies



## 1 Credit institutions, payment institutions and e-money institutions, leasing and factoring institutions, crypto custodians, crypto securities registration and credit services institutions under the German Secondary Credit Market Act (*Kreditwirtschaftsgesetz*)

### 1.1 New bases of supervisory practice

#### 8th amendment of the MaRisk for credit institutions

On 29 May 2024, BaFin updated its Minimum Requirements for Risk Management (*Mindestanforderungen an das Risikomanagement – MaRisk*)

for banks. The 8th amendment focuses on the management of interest rate risks and credit spread risks in the banking book. With this, BaFin implemented the Guidelines issued by the European Banking Authority ([EBA/GL/2022/14](#)), which came into full force at the end of 2023.

### **MaRisk applicable to payment institutions and e-money institutions for the first time**

With the publication of the ZAG-MaRisk on 27 May 2024, BaFin for the first time issued minimum requirements for the risk management of companies that fall under the German Payment Services Supervision Act (*Zahlungsdiensteaufsichtsgesetz*). With the ZAG-MaRisk, BaFin makes it clear that payment institutions and e-money institutions require appropriate risk management. Furthermore, it has provided institutions with a flexible and practical framework for designing a proper business organisation.

The transitional period for the implementation of this Circular ended on 1 January 2025.

### **ZAG: BaFin publishes Circular for reporting risks in payment transactions**

On 26 April 2024, BaFin published a Circular for payment service providers. This sets out how payment service providers must communicate operational and security risks in accordance with section 53 (2) of the Payment Services Supervision Act.

### **BaFin publishes FAQs on the Remuneration Regulation for Institutions (*Institutsvergütungsverordnung*)**

On 13 June 2024, BaFin published frequently asked questions regarding the Remuneration Regulation for Institutions. These FAQs take account of the EBA guidelines on remuneration and replace the previous Interpretive Guidance on the Remuneration Regulation for Institutions (*Auslegungshilfe zur Institutsvergütungsverordnung*). Institutions are required to directly apply the Guidelines on sound remuneration policies under Directive 2013/36/EU. The FAQs also contain issues that are not covered by the EBA Guidelines or that relate to the proportional implementation of the Guidelines.

### **Cooperative banks: BaFin publishes general administrative act on Common Equity Tier 1 instruments**

A new general administrative act published by BaFin regulates the extent to which newly issued shares in cooperative banks can, with BaFin's authorisation, be classified as Common Equity Tier 1 instruments. In the version in force since 1 January 2024, BaFin also stipulates the conditions under which the repayment of share capital in connection with the termination of cooperative shares is permitted in advance.

### **Supervisory statement on proportionality**

BaFin is committed to regulation and supervision that is as unbureaucratic and proportional as possible.<sup>10</sup> Germany's banking market includes large institutions in addition to many small banks. For these smaller institutions, existing regulations are too complex, too complicated and too extensive. Some small institutions have to fulfil requirements that are not relevant to them. This can overburden institutions, is not cost-effective and is contrary to the principle of reconciling risk management with business considerations. Against this backdrop – and following in-depth discussions with the industry – BaFin has scrutinised and adapted its own administrative practice.

One important interim result of this process is the supervisory statement of 26 November 2024. In this statement, BaFin presented new simplifications for small institutions, for example with regard to stress tests and reporting. It also highlights existing leeway that banks do not always make use of, and significantly expanded the range of institutions to whom the simplifications apply. BaFin provides specific examples of how small institutions can streamline risk management processes without reducing their effectiveness.

BaFin expects around 950 institutions, i.e. three quarters of German credit institutions, to benefit from the simplified requirements and clarifications.

### **Supervisory statement on the 2024 SREP: new add-on classes for determining the own funds requirement**

Since 2016, BaFin has, together with the Deutsche Bundesbank, set the SREP Pillar 2 Requirement (P2R) for institutions under national supervision. To this end, it determines capital add-ons for additional material risks. The basis for this is the European Capital Requirements Directive IV (CRD IV). The Pillar II Requirement was introduced by the CRD IV and is transposed by sections 6c and 6d of the German Banking Act (*Kreditwesengesetz*). SREP stands for Supervisory Review and Evaluation Process.

### **Supervisory statement on the German Secondary Credit Market Act: authorisation procedure for credit services institutions**

A key aim of the Secondary Credit Market Act is the protection of borrowers. In its supervisory statement of 26 March 2024, BaFin therefore highlighted the

<sup>10</sup> See Chapter I. 2.1 More proportionality – less complexity and bureaucracy



importance of organisational obligations related to consumer protection that credit services institutions must fulfil.

### **BaFin publishes supervisory statement on outsourcing to cloud service providers**

On 1 February 2024, BaFin published a supervisory statement on outsourcing to cloud service providers. The statement is based on the Guidance published by BaFin in November 2018. The supervisory statement provides practical guidance on how BaFin assesses outsourcing to cloud providers. The statement also provides guidance for supervised companies and already takes into account the requirements of the Digital Operational Resilience Act (DORA).

## **1.2 Developments at institutions**

### **1.2.1 German institutions directly supervised by the ECB**

In 2024, 25 German groups of institutions were classified as significant institutions. They were therefore directly supervised by the European Central Bank (ECB) within the Single Supervisory Mechanism (SSM). BaFin was involved in supervision as part of the Joint Supervisory Teams of the SSM.

### **1.2.2 Institutions directly supervised by BaFin**

#### **Private, regional and specialist banks**

The financial performance of private, regional and specialist banks was largely positive in 2024, risk provisioning notwithstanding. However, the ratios of non-performing loans (NPL ratios) increased as a result of the economic situation. As a result, institutions involved in commercial real estate financing in particular had to increase their risk provisioning. The ECB's deposit facility rate, which remains attractive, allowed institutions to offer attractive interest rates and to diversify their refinancing.

BaFin has been closely monitoring measures taken to remedy shortcomings at a number of institutions under heightened supervision due to their improper business organisation. In some cases, BaFin lifted the capital add-ons in 2024 after the institutions had remedied the shortcomings.

#### **Savings banks and cooperative banks**

Cooperative banks and savings banks continued to benefit from the interest rate environment. The number of loan defaults among corporate and private customers

rose only slightly in spite of the stagnating economy. Institutions recorded slight increases in the value of their securities investments. This was contrasted by subdued demand for credit; refinancing costs also increased. Savings banks and cooperative banks nonetheless achieved satisfactory annual results, which allowed them to strengthen their equity base. However, there were a small number of extremely expensive recoveries at cooperative banks. This was due to errors in the banks' risk management and governance.

The increasing skills shortage posed a challenge, particularly in the area of IT and at small institutions in general. For this reason, savings banks and cooperative banks have increased their investments in human resources. Mergers and outsourcing also provide options for tackling this challenge and the strong competition in the German financial sector. The trend towards mergers continued in both sectors (see Figures 3 and 4 on page 42). The number of savings banks and cooperative banks therefore continued to decline.<sup>11</sup>

Outsourcing remained a focus of BaFin's supervision in 2024 due to its high significance in the cooperative bank and savings bank sector. In both sectors, the services of outsourcing providers are being continuously expanded and developed, also with regard to changed and increased supervisory requirements. In 2024, BaFin closely monitored cases where it identified a need for changes.

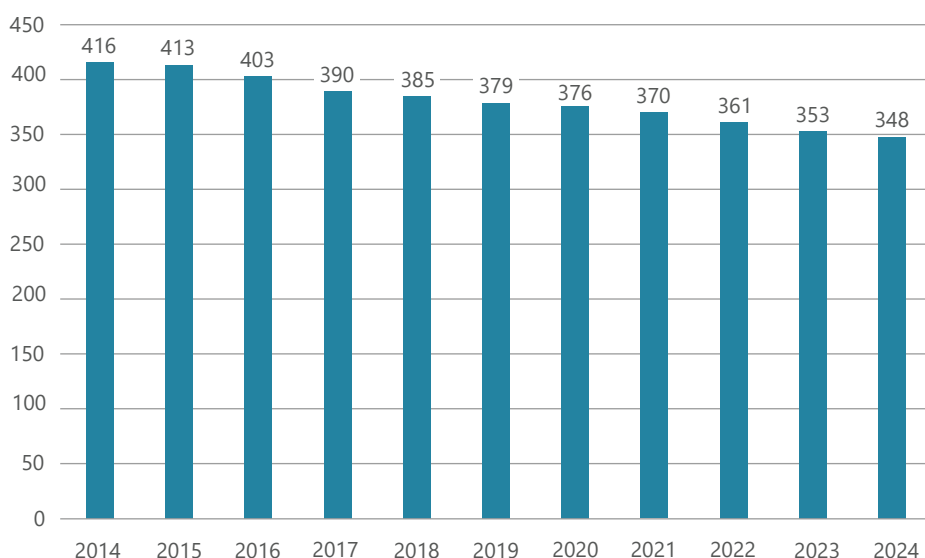
#### **Bausparkassen**

The consolidation of the *Bausparkassen* sector continued in 2024. Due to its balance sheet growth, in 2024 Wüstenrot Bausparkasse AG became the first *Bausparkasse* to fall under direct supervision by the ECB on an individual institution basis. BaFin closely monitored this process as part of the ECB's responsible Joint Supervisory Team. Supervision in accordance with the German *Bausparkassen* Act (*Bausparkassengesetz*) remains the responsibility of BaFin.

*Bauspar* business declined in 2024. The *Bausparkassen* responded to the changed interest rate environment with changes to their rates.

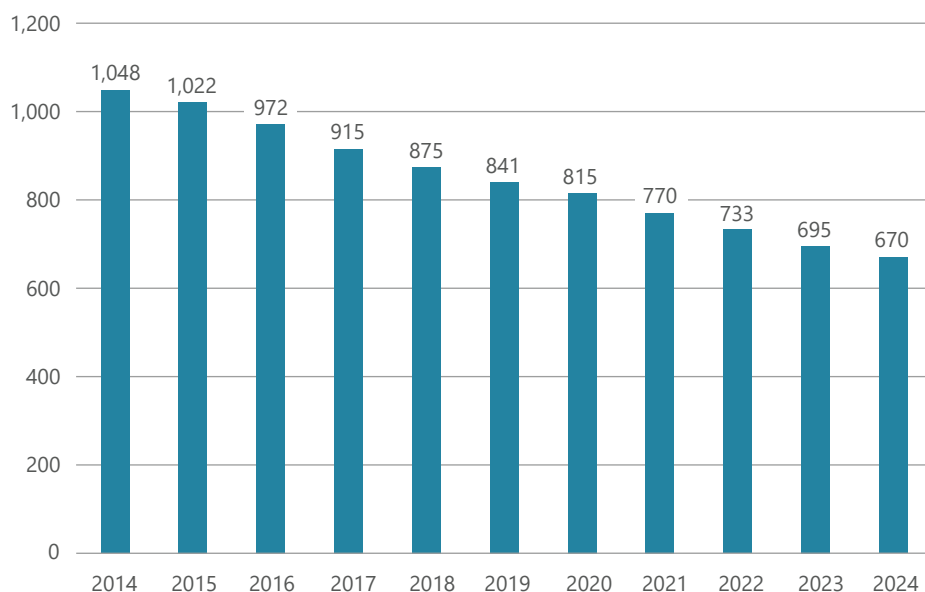
BaFin is committed to further developing and harmonising the supervisory requirements. In 2024, BaFin published a consultation on the further development of the collective management report of *Bausparkassen*.

<sup>11</sup> See Key figures at a glance

**Figure 3: Number of savings banks\***

\* This statistic does not include six *Landesbanks* or *DekaBank*.

Source: BaFin

**Figure 4: Number of cooperative banks**

Source: BaFin

### ***Pfandbrief* business**

German mortgage bonds (*Pfandbriefe*) faced a difficult market for covered bonds in 2024. This was due to challenges on the commercial property markets and interest rate dynamics. The lower demand from the ECB was offset in particular by investors from the banking sector, who increasingly sought *Pfandbriefe* with short original maturities.

The increasing number of “green” and “socially responsible” *Pfandbriefe* shows that the topic of sustainability is of great importance for *Pfandbrief* issuers too. *Pfandbriefe* with a total volume of €56.0 billion were issued in 2024 (2023: €64.2 billion). The aggregate volume of *Pfandbriefe* in circulation fell slightly to €389.4 billion (2023: €394.7 billion). The number of *Pfandbrief* banks remained largely stable with 83 at the end of 2024 (2023: 84).

## Foreign banks

Companies that conduct banking business and provide financial services are subject to the authorisation requirement – this also applies to institutions domiciled in Germany whose shareholders are based outside of Germany. In 2024, BaFin for the first time granted authorisation to an Asian development bank: the state-owned Korea Development Bank, domiciled in Seoul, Republic of Korea.

BaFin's supervision of foreign institutions in 2024 also focussed on their proper business organisation. The differences between the supervisory regimes of countries outside Europe and the German and European requirements often pose challenges for institutions.

### 1.2.3 Developments at payment institutions and e-money institutions

In 2024, the number of new requests for authorisation under the Payment Services Supervision Act remained high. BaFin granted five new authorisations and one registration in accordance with the Payment Services Supervision Act in 2024. Consequently, a total of 83 institutions had been authorised or registered as providers of payment services or e-money business operators in Germany at the end of 2024.<sup>12</sup>

In its ongoing supervision of these institutions, BaFin continued to focus primarily on compliance with the requirements for proper business organisation. At two institutions, BaFin intensified its supervision by ordering special inspections. A further focus of these inspections was IT.

### 1.2.4 Development of finance leasing and factoring institutions

The number of supervised finance leasing and factoring institutions fell to 366 in 2024 (prior year: 385).<sup>13</sup>

BaFin conducted four special inspections at these institutions in accordance with section 44 (1) of the Banking Act. Alongside the regular inspections, BaFin also conducted ad hoc inspections, which in some cases involved the use of forensic investigation methods.

Since 1 January 2024, all finance leasing and factoring institutions must have at least two management board

members. BaFin identified isolated violations of this new obligation. It will consistently punish any ongoing breaches.

### 1.2.5 Development of crypto custody business and crypto securities registration

In 2024, six further companies were granted authorisation under section 32 (1) of the Banking Act for crypto custody business, including one credit institution subject to the European Capital Requirements Regulation (CRR). One institution returned its authorisation in 2024. This brought the total number of institutions authorised to perform crypto custodian services at the end of 2024 to 14.

The number of ongoing procedures regarding applications for a crypto custody licence from companies without a full banking licence has fallen to two. Four applicants withdrew their applications and BaFin refused one authorisation. BaFin also issued the first three licences for crypto securities registration.

### 1.2.6 Credit services institutions in accordance with the Secondary Credit Market Act

The provision of credit services has been subject to an authorisation requirement since December 2023. This is due to the transposition of Directive (EU) 2021/2167 on credit servicers and credit purchasers through the Secondary Credit Market Act. The Act also regulates the obligations of buyers and sellers of claims from non-performing credit agreements as well as the supervision of companies that provide credit services.

In 2024, BaFin authorised 26 companies to provide credit services under the Secondary Credit Market Act. On its website, BaFin has provided market participants with extensive information regarding the authorisation procedure and the notification and reporting obligations they must comply with once authorisation has been granted.

<sup>12</sup> See [Key figures at a glance](#)

<sup>13</sup> See [Key figures at a glance](#)

## 2 Insurers and pensions funds

### 2.1 New bases of supervisory practice

#### **Sixth regulation amending regulations pursuant to the Insurance Supervision Act**

The Sixth regulation amending regulations pursuant to the Insurance Supervision Act (*Sechste Verordnung zur Änderung von Verordnungen nach dem Versicherungsaufsichtsgesetz*) was published in the German Federal Law Gazette on 24 July 2024. It contained an amendment to the German Premium Reserve Regulation (*Deckungsrückstellungsverordnung*). The Premium Reserve Regulation stipulates the maximum technical interest rate that can be used to calculate the premium reserve. As at 1 January 2025, the maximum technical interest rate was increased for the first time in 30 years from 0.25% to 1.0%. The maximum technical interest rate for guarantees in new business, which is set out in the German Regulation on the Supervision of Pensionsfonds (*Pensionsfonds-Aufsichtsverordnung*), was likewise raised for Pensionsfonds.

In addition, the absolute lower limits for minimum capital requirements for insurers subject to Solvency II were adjusted in the German Capital Resources Regulation (*Kapitalausstattungs-Verordnung*). With this, the Federal Ministry of Finance (*Bundesministerium für Finanzen*) was complying with a corresponding notice issued by the European Commission.

#### **Seventh regulation amending regulations pursuant to the Insurance Supervision Act**

The Seventh regulation amending regulations pursuant to the Insurance Supervision Act (*Siebte Verordnung zur Änderung von Verordnungen nach dem Versicherungsaufsichtsgesetz*) entered into force on 17 December 2024. By amending the German Insurance Reporting Regulation (*Versicherungsberichterstattungs-Verordnung*), the Capital Resources Regulation and the Regulation on the Supervision of Pensionsfonds, BaFin above all made changes to the technical requirements for reporting. A key component of the new regulation is the switch to the XBRL (eXtensible Business Reporting Language) format for reporting.

#### **Guidance Notice on the electronic transmission of asset register entries**

On 18 September 2024, BaFin published the Guidance Notice 02/2024 (VA) on the electronic transmission of entries in the register of assets (*Merkblatt 02/2024 (VA) zur elektronischen Übermittlung der im*

*Vermögensverzeichnis vorgenommenen Eintragungen gemäß § 126 Absatz 2 VAG*). The Guidance Notice helps primary insurance companies and pension funds with the standardised electronic transmission of their asset register entries to BaFin. Companies must apply the Guidance Notice for the first time to the electronic transmission of asset register entries for financial year 2024, which is carried out in 2025.

### 2.2 Developments in the individual insurance classes

#### **Supervision of compliance with rules of conduct**

On the basis of the newly published Guidance Notice 01/2023 (VA) on aspects of conduct of business supervision for savings products (*Merkblatt 01/2023 (VA) zu wohlverhaltensaufsichtlichen Aspekten bei kapitalbildenden Lebensversicherungsprodukten*), BaFin has so far reviewed 13 life insurers. In doing so, it followed a risk-based supervisory approach. BaFin has thus taken a closer look at around 20% of endowment life insurers (excluding *Pensionskassen*).

BaFin expects products to provide adequate value for money for the target market. This means they must meet customers' needs for coverage and/or their expectations with regard to yields. For unit-linked products in particular, insurance companies must therefore set target returns that are sufficiently likely to be achieved. If it is to be expected that a significant proportion of customers will terminate their contracts early, insurers must take this into account when assessing value for money.

At the end of August 2024, BaFin made public the results of the inspections it had already carried out in this area and published a list of FAQs on its website.

#### **Results of a survey on natural disaster coverage in residential building insurance**

Twelve residential building insurers were selected and required to answer a series of questions concerning natural disaster coverage in residential building insurance. In the statements provided by the insurers, BaFin did not identify any irregularities under supervisory law. In 2024, for insurance policies for private residential buildings in flood risk areas classified 1 to 3 according to the ZÜRS Geo 2023 zone system, all 12 insurers offered products that included a natural disaster clause with an opt-out option. This means that customers must consciously choose to opt out of natural

disaster coverage if they do not want it. The insurance industry is thus honouring its promise to exclusively offer fully integrated residential building insurance to almost all private homeowners when concluding new policies. The aim is to significantly increase the currently low level of natural disaster coverage. Natural disaster coverage is included in fully integrated residential building insurance. Here too, policyholders have the option to opt out.

### Recalculation of the transitional measure under Solvency II

In June 2024, BaFin ordered a recalculation of the transitional measure on technical provisions in accordance with Section 352 (3) of the German Insurance Supervision Act (*Versicherungsaufsichtsgesetz*).

The transitional measure on technical provisions was introduced in 2016, primarily to make the transition to the Solvency II supervisory regime easier for life insurers. It allows insurance companies, in the transitional period up to the year 2032, to reduce the technical provisions by a transitional deduction that gradually decreases.

In most cases, the transitional deduction was determined at a time when technical provisions were significantly higher under Solvency II than they were under Solvency I as a result of low interest rates. With the increase in interest rates since 2022, this has generally been reversed. Coverage ratios have risen significantly. The amount of the transitional measure on technical provisions was no longer appropriate in most cases and could even provide false incentives.

The aim of the recalculation is to adequately reflect the current market environment. For the majority of life insurers, the transitional measure on technical provisions will be reduced to zero. This does not mean the transitional measure is being revoked: it is merely being adapted to the changing market.

### 2.2.1 Developments at life insurers

BaFin had already assessed the position of life insurers as robust despite the low interest rate environment in recent years. The increase in interest rates has further improved companies' KPIs and their risk-bearing capacity under Solvency II. Although interest rates have fallen again slightly, risk-bearing capacity remained stable in 2024.

The reference interest rate used to calculate the *Zinszusatzreserve* (additional provision to the premium reserve) was 1.57% in 2024, as in the two previous years.

Due to changes in insurance portfolios the *Zinszusatzreserve* was again reduced across the industry – by €4.1 billion. The funds released will benefit policyholders in the form of higher profit participations. The future development of capital market interest rates will largely determine when the *Zinszusatzreserve* will be further reduced.

Several life insurers had already increased their profit participation in 2023 and 2024. This trend continued with the profit participation declared for 2025. Policyholders will thus participate in the increased income from new investments and reinvestments.

As in the prior year, all 78 life insurers supervised by BaFin were able to demonstrate adequate coverage with regard to the Solvency Capital Requirements (SCR) in 2024. As a result of the recalculation of the transitional measure on technical provisions, the SCR coverage reported by life insurers fell significantly. However, the economic SCR coverage, which does not take into account the effects of the transitional measure on technical provisions, remained at a high level.

### 2.2.2 Developments at private health insurers

The sector's risk-bearing capacity remained robust in the 2024 reporting year. However, insurance settlements in private health insurance rose more sharply in 2023 and 2024 than in previous years, in part due to inflation.

As a result of this development, the premium adjustments required according to the standard adjustment mechanism were high. BaFin's annual sector analysis showed that roughly 85% of policyholders have been affected by premium adjustments in private comprehensive health insurance for 2025 at least with respect to their core plan. The average adjustment was 13.9%. For some policyholders, however, the premiums were reduced. Health insurers used an aggregate total of roughly €2.33 billion of their provisions for bonuses to limit increases in premiums.

### 2.2.3 Developments at property and casualty insurers

For the 199 property and casualty insurers supervised by BaFin, the financial year 2024 was dominated by an inflation rate that was above the long-term average. Compared with the prior year, the inflation rate fell again in 2024. Claims inflation, however, which is relevant for property and casualty insurers, remained at a high level.

The high claims inflation was above all evident in motor vehicle insurance (motor vehicle third-party liability insurance and other motor vehicle insurance), residential building insurance and liability lines. These lines of business are also responsible for a significant proportion of total premium volumes in property and casualty insurance. In 2024, there were some significant increases in the average premiums in these sectors. However, in motor vehicle insurance in particular insurers only passed on the necessary premium increases to policyholders after a delay.

According to preliminary figures, profitability in the market as a whole improved somewhat compared to the previous year. The net combined ratio, which essentially indicates the ratio of claims expenditure to premium income, is slightly below the 100% mark.

From a solvency perspective, property and casualty insurers dealt with the relatively high claims inflation well overall. There was very little change in SCR coverage in 2024.

## 2.2.4 Developments at reinsurance undertakings

In 2024, reinsurers once again increased premiums in motor vehicle lines and in natural disaster insurance. The costs for spare parts and repairs rose noticeably in the area of motor vehicle insurance. Natural disaster losses increased as a result of more frequent natural disasters and construction costs remaining at a high level. Price stability in reinsurance coverage for natural disasters, combined with primary insurers' increased retention levels, also continued to be points of discussion between BaFin and supervised companies in 2024.

Due to the high demand for reinsurance protection, alternative forms of risk transfer, such as catastrophe bonds and insurance-linked securities, also gained in importance in 2024.

SCR coverage among German reinsurers declined slightly over the course of 2024 from 284.3% in 2023 to 282.6% in 2024. At the same time, there was a moderate decrease in the gross combined ratio of the largest German reinsurers from 95.6% to 93.4%.

## 2.2.5 Developments at *Pensionskassen* and *Pensionsfonds*

### ***Pensionskassen***

The rise in interest rates relieved the burden on *Pensionskassen*, which had been particularly impacted by the prolonged low interest rate environment. Opportunities to generate income have improved for both new investments and reinvestments. At the same time, hidden reserves declined, with many *Pensionskassen* reporting hidden liabilities.

BaFin's projections as at 30 September 2024 showed a further improvement in the industry as a whole. Depending on the scenario, however, the situation for certain *Pensionskassen* remains tense. The number of *Pensionskassen* subject to intensified supervision declined slightly, remaining below 20 at the end of the year. According to projections, two *Pensionskassen* were unable to comply with the solvency requirements as at 31 December 2024.

### ***Pensionsfonds***

Overall, *Pensionsfonds* were less severely affected by the low-interest phase than *Pensionskassen*. All of the *Pensionsfonds* were able to bear the economic impact of the four scenarios in BaFin's projection exercise as at the 30 September 2024 reference date. However, in the *Pensionsfonds'* insurance-based business, where the *Pensionsfonds* themselves bear the risk of meeting the obligations, the interest rate rise led to hidden liabilities. According to the projection, all of the 35 *Pensionsfonds* supervised by BaFin had sufficient own funds for the 2024 financial year and the four subsequent financial years. The level of own funds required by supervisory law corresponded to the minimum capital requirement at around two-thirds of the *Pensionsfonds*: €3 million for stock corporations and €2.25 million for mutual *Pensionsfonds*.



## 3 Investment firms and asset management

### 3.1 Investment firms

#### 3.1.1 New bases of supervisory practice

##### **Investment Firm Holder Control Regulation now in force**

Since January 2024, investment firms must report changes in their holding structure in accordance with the requirements of the [German Investment Firm Holder Control Regulation](#) (*Wertpapierinstituts-Inhaberkontrollverordnung*). The Regulation also specifies the required reporting forms.

##### **Guidance Notice on managing directors**

On 11 September 2024, BaFin published its [Guidance Notice on the minimum number of managing directors under the German Investment Firm Act](#) (*Wertpapierinstitutsgesetz*) (*Merkblatt 01/2024 (WA) zur erforderlichen Mindestanzahl von Geschäftsleitern nach dem Wertpapierinstitutsgesetz (WpIG)*). It specifies that small and medium-sized investment firms that fulfil at least one of the risk criteria described in the Guidance Notice must be managed by at least two people.

#### 3.1.2 Developments in the investment firm sector

Companies that do not conduct banking business but only provide investment services must be authorised to operate as an investment firm. Where BaFin has granted such authorisation, these companies can provide services such as investment advice, investment broking and portfolio management. The number of authorisations granted fell again in 2024 (see Table 21). The number of supervised institutions also fell slightly again in 2024.<sup>14</sup>

**Table 21: Authorisations in 2024 and 2023**

|                                 | 2024 | 2023 |
|---------------------------------|------|------|
| Authorisations granted          | 19   | 16   |
| Expanded authorisations granted | 18   | 8    |
| Authorisations returned         | 32   | 33   |

Source: BaFin

<sup>14</sup> See [Key figures at a glance](#).

### 3.2 Asset management

#### 3.2.1 New bases of supervisory practice

##### **Directives on AIFMs and UCITS amended**

In March 2024, the European Union published [Directive \(EU\) 2024/927](#), which amends the Alternative Investment Fund Managers (AIFM) Directive and the Undertakings for Collective Investment in Transferable Securities (UCITS) Directive.

Directive (EU) 2024/927 must be transposed by April 2026. Among other things, it harmonises the lending of alternative investment funds (AIFs). It also sets out minimum requirements for liquidity management tools that must be maintained for open-ended funds. In addition, it introduces reporting for UCITS that corresponds to the reporting under the AIFM Directive. BaFin is actively involved in Level II of the European legislative process and is preparing for the practical implementation of the future requirements.

##### **BaFin applies EU guidelines on fund names**

In May 2024, the European Securities and Markets Authority (ESMA) published [Guidelines on fund names](#). They define the criteria a fund must meet in order to use words such as “environment” or other sustainability-related terms in its name. The new rules are intended to prevent investors from being misled by sustainability-related terms in fund names. BaFin welcomes these requirements, which have been standardised across Europe for the first time, and [applies them](#) without restriction.

#### 3.2.2 German asset managers (*Kapitalverwaltungsgesellschaften*)

In 2024, a further 5 German asset managers were authorised to manage investment funds (previous year: 2). BaFin extended the authorisation granted to a further company, allowing it to offer additional asset classes or types of investment funds (previous year: 3). A total of 7 companies surrendered their authorisation (previous year: 2).

This brought the number of companies domiciled in Germany with authorisation in accordance with the German Investment Code (*Kapitalanlagegesetzbuch*) to 142 at the end of 2024 (previous year: 144). In addition, 29 German asset managers registered in accordance

with section 44 of the Investment Code (previous year: 54). A total of 18 companies surrendered their registrations (previous year: 37).

In 20 cases, German asset managers established a branch in another EU Member State or offered cross-border services (previous year: 15). A total of 18 companies from other EU countries notified BaFin that they had established a branch or started providing cross-border services in Germany (previous year: 22).

### 3.2.3 Investment funds

The German market for open-ended retail investment funds continued to grow in 2024, measured in terms of the number of investment funds under management (see Table 22). The growth can be traced to the performance of the assets held in the funds. Net cash inflows were also a decisive factor in the open-ended special funds segment, as Table 23 shows.

In the year under review, BaFin approved 111 new retail investment funds in accordance with the Investment Code, including 81 UCITS, 10 open-ended retail AIFs and 20 closed-ended retail AIFs. In 2023, BaFin authorised

112 retail investment funds in accordance with the Investment Code, including 87 UCITS, 7 open-ended retail AIFs and 18 closed-ended retail AIFs.

### 3.2.4 Open-ended real estate funds and hedge funds

At the end of 2024, 69 German asset managers were authorised to manage open-ended real estate funds (previous year: 68). A total of 19 German asset managers managed open-ended retail real estate funds at the end of the year. 44 companies limited their activities to managing open-ended special real estate funds.

One open-ended retail real estate fund was launched in the course of 2024, while two were merged and three were liquidated. This reduced the total number of such funds to 50 (previous year: 53). The total fund volume for this market segment was €123.2 billion at the end of the year (previous year: €127.2 billion).

Gross cash inflows into open-ended retail real estate funds amounted to €3.5 billion in 2024 (previous year: €5.1 billion). Gross cash inflows into open-ended special real estate funds amounted to €10.4 billion (previous

**Table 22: Open-ended investment funds in 2024 and 2023 (individual funds and sub-funds)\***

|                | 2024   |                  | 2023   |                  |
|----------------|--------|------------------|--------|------------------|
|                | Number | Assets           | Number | Assets           |
| Retail funds   | 2,066  | €709.2 billion   | 3,420  | €650.1 billion   |
| Special AIFs** | 4,471  | €2,137.8 billion | 4,455  | €2,038.8 billion |
| Total          | 6,537  | €2,847.0 billion | 7,875  | €2,688.9 billion |

\* A different method for determining the number of investment funds managed in Germany was used than in the 2023 annual report. The number of investment funds is based on the individual fund or sub-fund. Unit classes, on the other hand, are not taken into account.

\*\* AIF stands for "alternative investment fund".

Source: BaFin

**Table 23: Fund cash flows in 2024 and 2023**

|                                                 | 2024           | 2023           |
|-------------------------------------------------|----------------|----------------|
| Aggregate net cash inflows                      | €38.7 billion  | €75.7 billion  |
| Aggregate gross cash inflows                    | €298.3 billion | €359.1 billion |
| Gross cash inflows into retail investment funds | €101.4 billion | €99.0 billion  |
| Gross cash inflows into special AIFs*           | €196.9 billion | €260.1 billion |
| Aggregate cash outflows                         | €259.6 billion | €283.4 billion |

\* AIF stands for "alternative investment fund".

Source: BaFin

year: €12.9 billion). Total fund assets held by open-ended special real estate funds amounted to €184.3 billion at the end of 2024, compared to €182.2 billion in 2023.

The number of funds in liquidation fell to 11, as 3 funds were liquidated in the course of 2024. Their fund volume amounted to €459 million (previous year: €761 million). The management rights for almost all of the affected funds have already been transferred to their depositories, which have assumed responsibility for fund management during the liquidation process.

BaFin receives monthly reports on the funds raised by the open-ended retail real estate funds it supervises. Given the strained market environment at present, BaFin is keeping a very close eye on how the situation is developing for retail real estate common funds. It is in close contact with the German asset managers under its supervision.

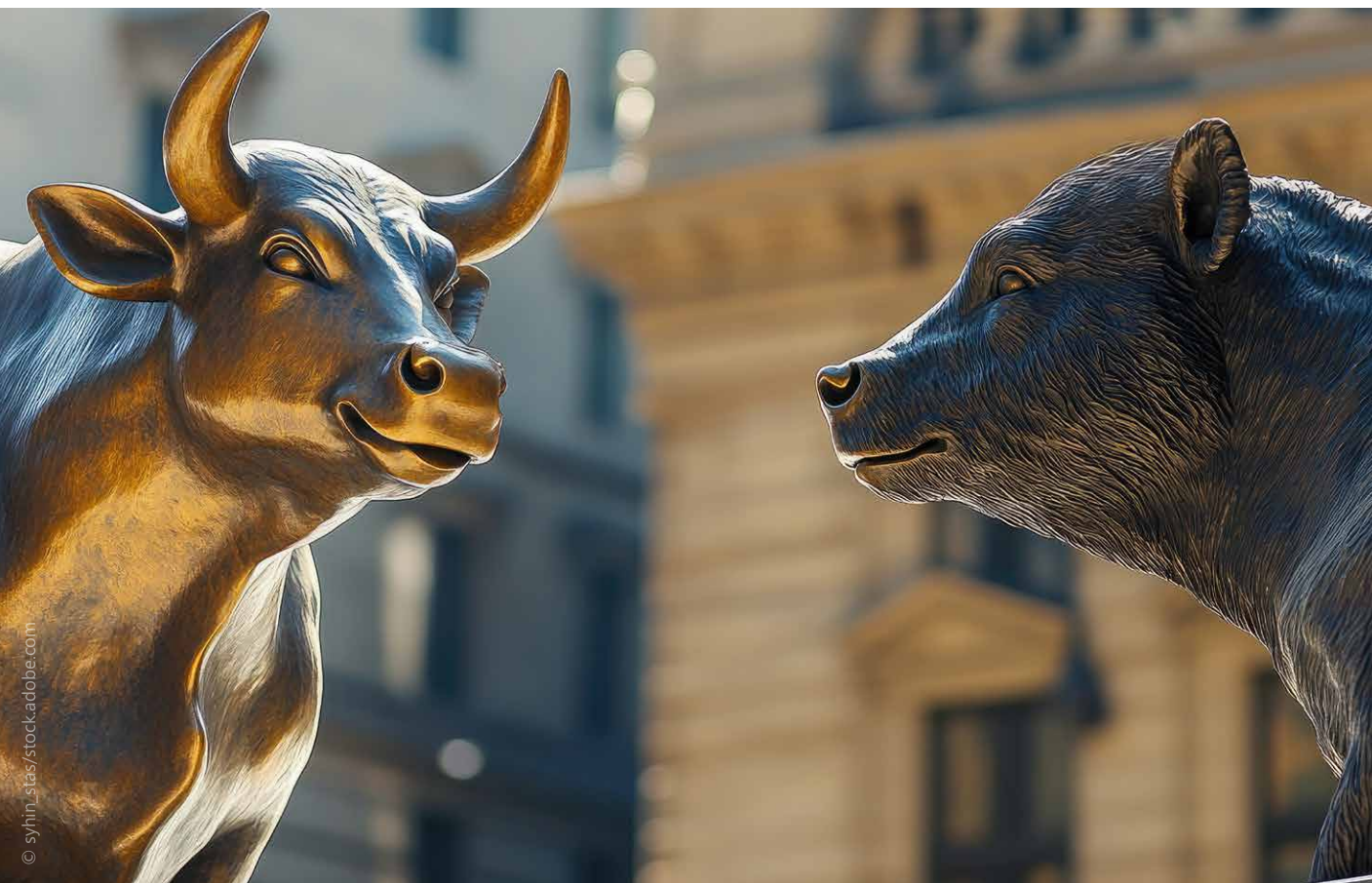
There were 12 hedge funds in Germany at the end of 2024 (previous year: 12). Their total volume of funds under management was €5.7 billion (previous year: €5.6 billion). As in 2023, there were no domestic funds of hedge funds on the German market in 2024.

### 3.2.5 Foreign investment funds

In 2024, 11,001 EU UCITS were authorised for marketing in Germany (previous year: 10,960 funds). BaFin received a total of 780 new notifications from companies planning to market EU UCITS in Germany. In the previous year, BaFin received 673 new notifications.

In addition, 6,157 EU AIFs and 883 AIFs from third countries were authorised to market units or shares in Germany (previous year: 5,241 EU AIFs and 788 AIFs from third countries). A total of 1,765 AIFs started marketing in Germany in 2024 (previous year: 1,034), while 385 EU AIFs and foreign AIFs ceased marketing.

BaFin examines in detail any requests submitted by fund managers wishing to market third-country AIFs to investors in Germany. This is because the European marketing passport does not apply to foreign AIFs, which must undergo a strict national sales notification procedure before they can be sold in Germany.



## 1 Market access

### 1.1 New bases of supervisory practice

#### **BaFin monitors information requirements under the EU Green Bond Regulation**

Since December 2024, European Green Bonds can be issued in accordance with the special transparency requirements of Regulation (EU) 2023/2631 (EUGBR). The EUGBR also contains optional transparency rules for other environmentally sustainable bond types. BaFin monitors whether issuers fulfil the EUGBR information requirements. However, BaFin does not check the accuracy of the information, such as whether the planned use of the proceeds is compliant with the taxonomy requirements.

### 1.2 Prospectuses

#### **Accelerated share prospectus procedure**

Since August 2024, BaFin has offered issuers the opportunity to significantly speed up their share prospectus procedures. The duration of the procedure from initial submission to approval of the prospectus can thus be reduced to six to eight weeks. This is only possible if the issuer coordinates with BaFin on the details in advance and provides an almost complete version when initially submitting the prospectus.

Since its introduction, the accelerated procedure has been used by most issuers, particularly those on the regulated market. This has enabled BaFin to increase the efficiency of its supervision. The capital market is also strengthened since issuers can raise equity more quickly. In 2024, BaFin conducted a total of 227 securities prospectus procedures and 77 securities information sheet procedures (see Table 24 and Table 25).

**Table 24: Securities prospectus procedures in 2024 and 2023**

|                                                               | 2024   | 2023    |
|---------------------------------------------------------------|--------|---------|
| Total number of procedures (including registration documents) | 227    | 271     |
| of which approvals of prospectuses                            | 185    | 200     |
| of which initial public offerings on the regulated market*    | 8      | 4       |
| of which secondary issuances on the regulated market**        | 4      | 5       |
| of which base prospectuses                                    | 159    | 169     |
| of which approvals of registration documents                  | 26     | 26      |
| of which withdrawals (of which regulated market)              | 16 (8) | 44 (10) |
| of which rejections (of which regulated market)               | 0 (0)  | 1 (1)   |

\* Initial admission of the issuer's shares to the regulated market with or without a public offering, including uplisting.

\*\* Admission of shares of an issuer whose shares have already been admitted to trading on the regulated market, with or without a public offering.

Source: BaFin

**Table 25: Securities information sheet procedures in 2024 and 2023**

|                            | 2024 | 2023 |
|----------------------------|------|------|
| Total number of procedures | 77   | 121  |
| of which approvals         | 58   | 101  |
| of which withdrawals       | 14   | 17   |
| of which rejections        | 5    | 3    |

Source: BaFin

### Capital investments workshop

In November 2024, BaFin held a workshop on "Practical experience with capital investments" for external market participants. Supervisors demonstrated, among other things, how market supervision and product intervention interact in the case of capital investments. The objective

of the event was to increase efficiency in future procedures and to explain BaFin's approach in more detail.

### Non-securities investment prospectuses

In 2024, BaFin received 23 non-securities investment prospectuses (see Table 26). The most common type of participation was equity holdings (21 submissions). A large proportion of the prospectuses involved investments in wind farms (15 submissions) and solar farms (5 submissions).

**Table 26: Overview of prospectuses in 2024 and 2023**

| Pros-<br>pectuses | Received | Approved | With-<br>drawn | Approval<br>refused | Rejected |
|-------------------|----------|----------|----------------|---------------------|----------|
| Total in 2024     | 23       | 17       | 4              | 1                   | 0        |
| Total in 2023     | 22       | 21       | 5              | 0                   | 2        |

Source: BaFin

In 2024, as in previous years, BaFin authorised the publication of a large proportion of the capital investment information sheets submitted, as shown in Table 27. Approximately 85% of the capital investment information sheets were for subordinated loans, and approximately 14% were for profit participation loans. As Figure 5, page 52, shows, the capital investment information sheets largely related to investments in the solar and wind energy sectors.

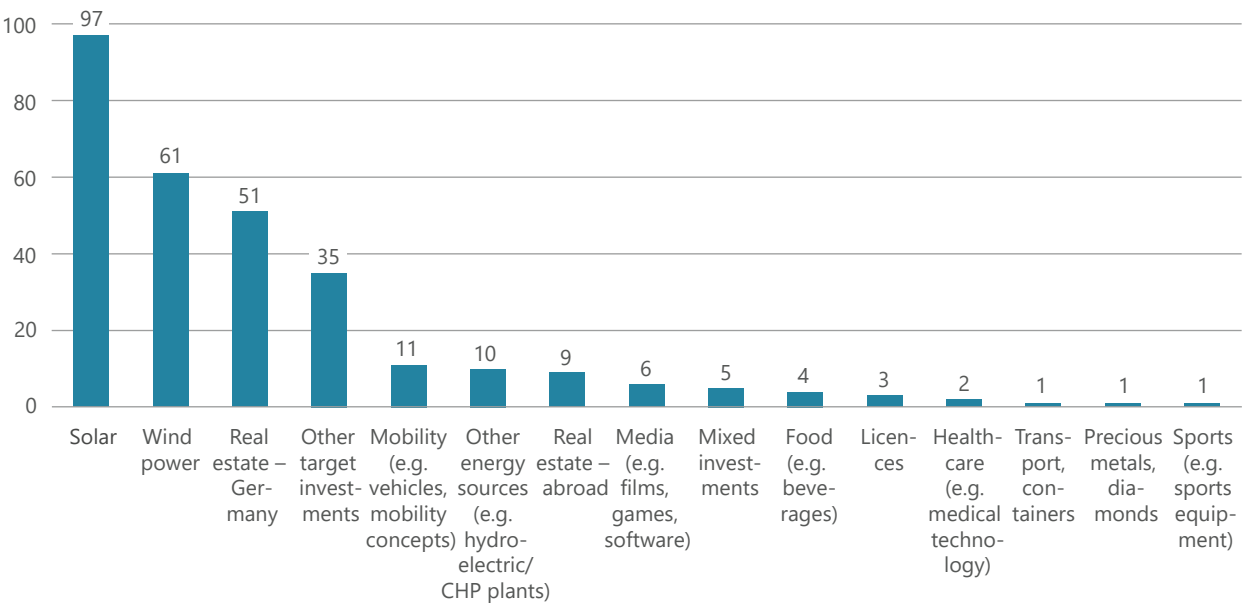
However, BaFin received significantly fewer applications overall than in the previous year due to market conditions. In particular, there was a sharp decline in target investments in the category "Real estate – abroad". 109 properties were submitted in 2023, followed by only 9 in 2024.

**Table 27: Overview of capital investment information sheets in 2024 and 2023**

| Capital<br>investment<br>information<br>sheets | Received | Approved | With-<br>drawn | Rejected |
|------------------------------------------------|----------|----------|----------------|----------|
| Total in 2024                                  | 297      | 234      | 24             | 1        |
| Total in 2023                                  | 535      | 432      | 45             | 0        |

Source: BaFin

Figure 5: Capital investment information sheets received in 2024, by target investment



Source: BaFin

## 2 Market transparency

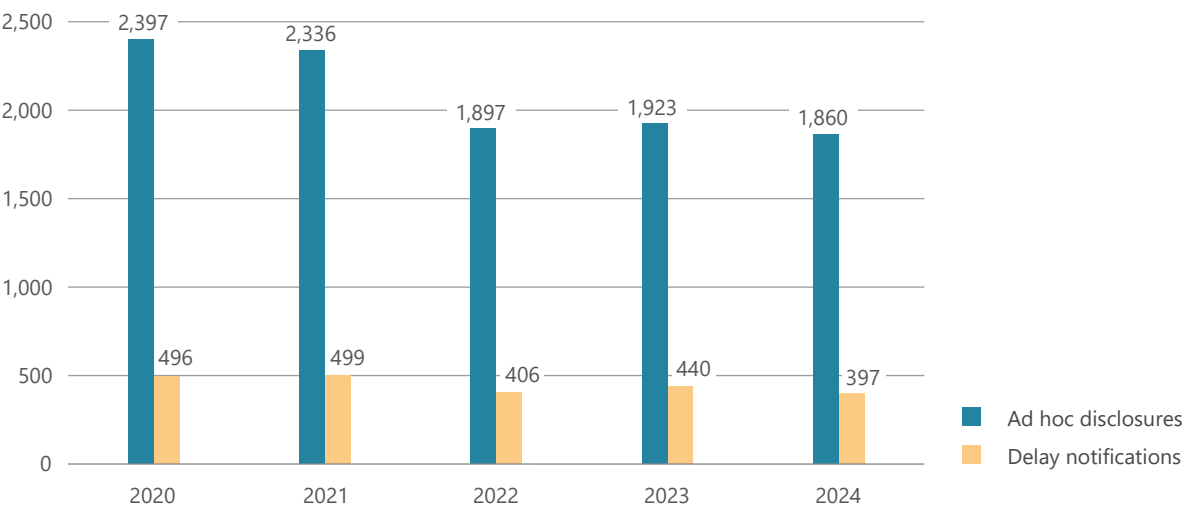
### Ad hoc disclosures

The numbers of ad hoc disclosures and delay notifications decreased slightly in 2024 (see Figure 6). BaFin checks whether ad hoc disclosures are correct and complete, and whether they were published on time. If ad hoc disclosures are published too late or not at all, this has a negative impact on capital

market transparency. BaFin regularly imposes fines in such cases.<sup>15</sup> Many of BaFin’s investigations in 2024 concerned the publication of financial figures.

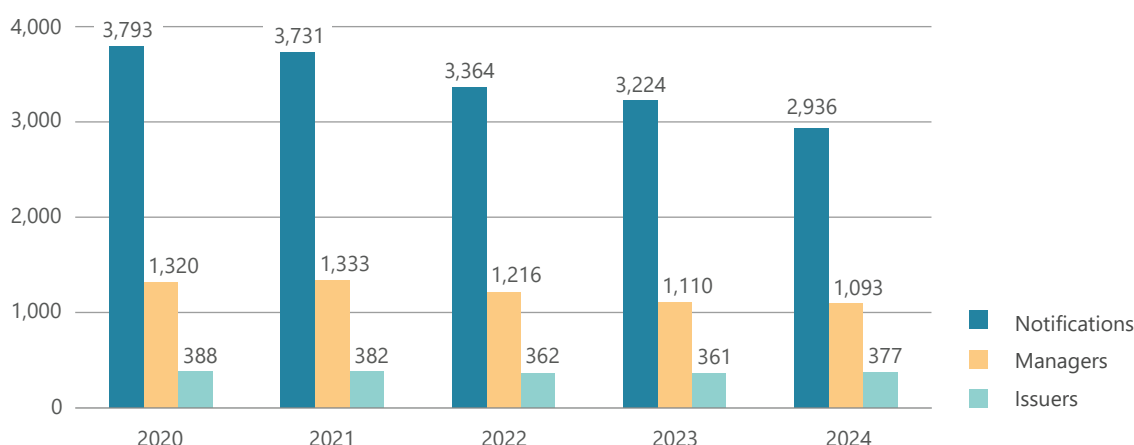
15 See [Chapter I.2.3 Measures and sanctions taken by BaFin](#).

Figure 6: Ad hoc disclosures and delay notifications since 2020



Source: BaFin



**Figure 7: Managers' transactions notifications since 2020**

Source: BaFin

Under certain circumstances, an ad hoc disclosure to publish inside information may be postponed without this constituting a violation. This is often the case where a certain event plays out over a certain period of time, such as company takeovers or important contract negotiations.

#### Managers' transactions

The number of managers' transactions notifications fell year-on-year in 2024 (see Figure 7). BaFin checks whether managers' transactions notifications are received within the prescribed time frame. If this is not the case, it can impose administrative fines.<sup>16</sup>

#### Transparency requirements for net short positions

2024 saw an increase in the number of notifications of net short positions submitted to BaFin. The number of net short positions published in the Federal Gazette also increased (see Table 28). BaFin continuously monitors

compliance with the reporting requirements, since they serve to ensure market transparency. In the event of violations, BaFin can impose administrative fines.<sup>17</sup>

#### Voting rights and duties to provide information to securities holders

Figure 8 on page 54 shows the number of voting rights notifications (sections 33 et seq. of the German Securities Trading Act (*Wertpapierhandelsgesetz*)) and of notifications of the total number of voting rights (section 41 of the Securities Trading Act) from 2020 to 2024. It also shows the number of issuers admitted to the organised market during this period. BaFin monitors whether parties subject to reporting requirements and issuers comply with their notification and disclosure obligations. If this is not the case, BaFin requests that they do this or that they correct incorrect notifications. BaFin can also initiate administrative fine proceedings.<sup>18</sup>

<sup>16</sup> See [Chapter I.2.3](#) Measures and sanctions taken by BaFin.

<sup>17</sup> See [Chapter I.2.3](#) Measures and sanctions taken by BaFin.

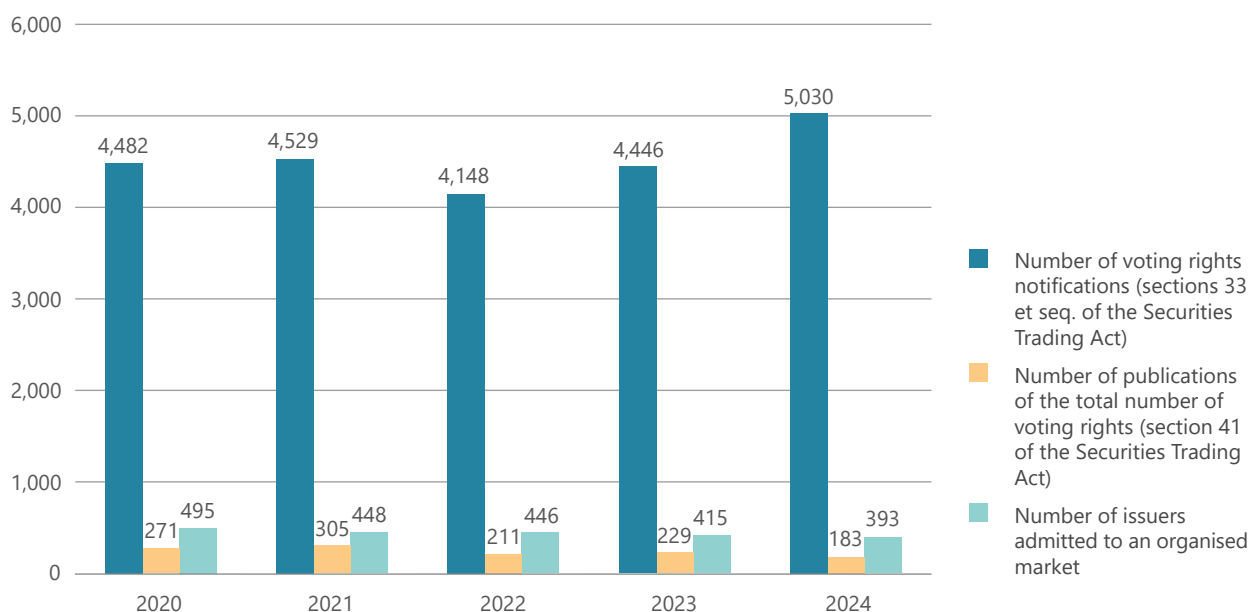
<sup>18</sup> See [Chapter I.2.3](#) Measures and sanctions taken by BaFin.

**Table 28: Notifications and disclosures of net short positions since 2022**

| Period | Notifications regarding shares | Disclosure required in the Federal Gazette | Number of shares affected | Notifications regarding debt securities |                              |
|--------|--------------------------------|--------------------------------------------|---------------------------|-----------------------------------------|------------------------------|
|        |                                |                                            |                           | issued by the Federal Government        | issued by the federal states |
| 2024   | 29.465                         | 5.624                                      | 559                       | 44                                      | 0                            |
| 2023   | 28.308                         | 4.571                                      | 617                       | 80                                      | 0                            |
| 2022   | 34.131                         | 4.996                                      | 707                       | 81                                      | 3                            |

Source: BaFin

**Figure 8: Number of voting rights notifications (sections 33 et seq. of the Securities Trading Act), of publications of the total number of voting rights (section 41 of the Securities Trading Act) and of issuers admitted to an organised market since 2020**



Source: FIS information system, BaFin diagram

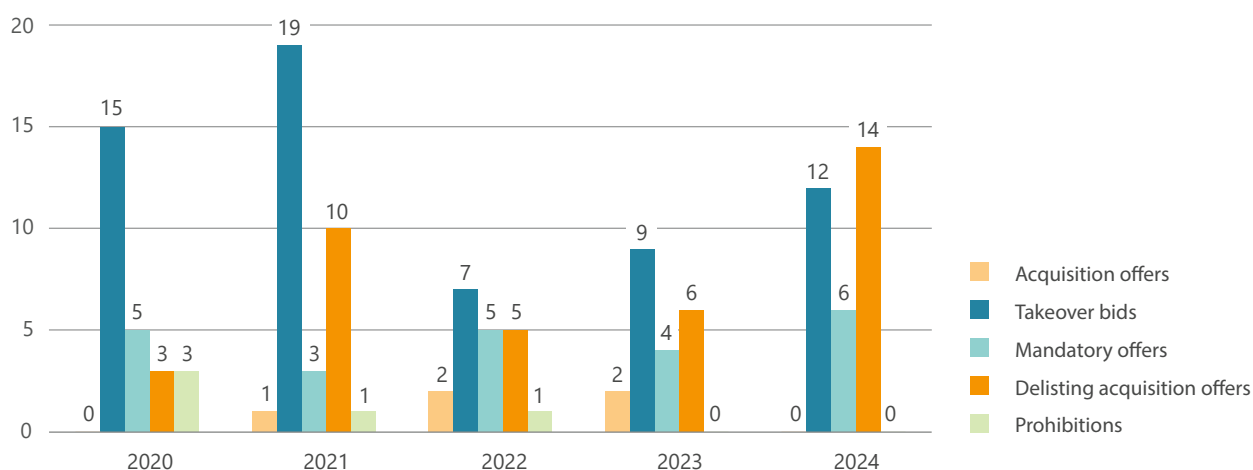
### 3 Company takeovers

BaFin monitors offers to the public to acquire securities admitted to trading on a regulated market. Figure 9 provides an overview of the offer documents published for the various offer types and the prohibitions imposed by BaFin in recent years.

#### Exemption procedures

A total of 33 applications for the non-consideration of voting rights were submitted in 2024, which is 12 more than in 2023. There were 13 exemption applications pursuant to section 37 of the German Securities Acquisition and Takeover Act (*Wertpapiererwerbs- und Übernahmegesetz*) in 2024 (previous year: 20).

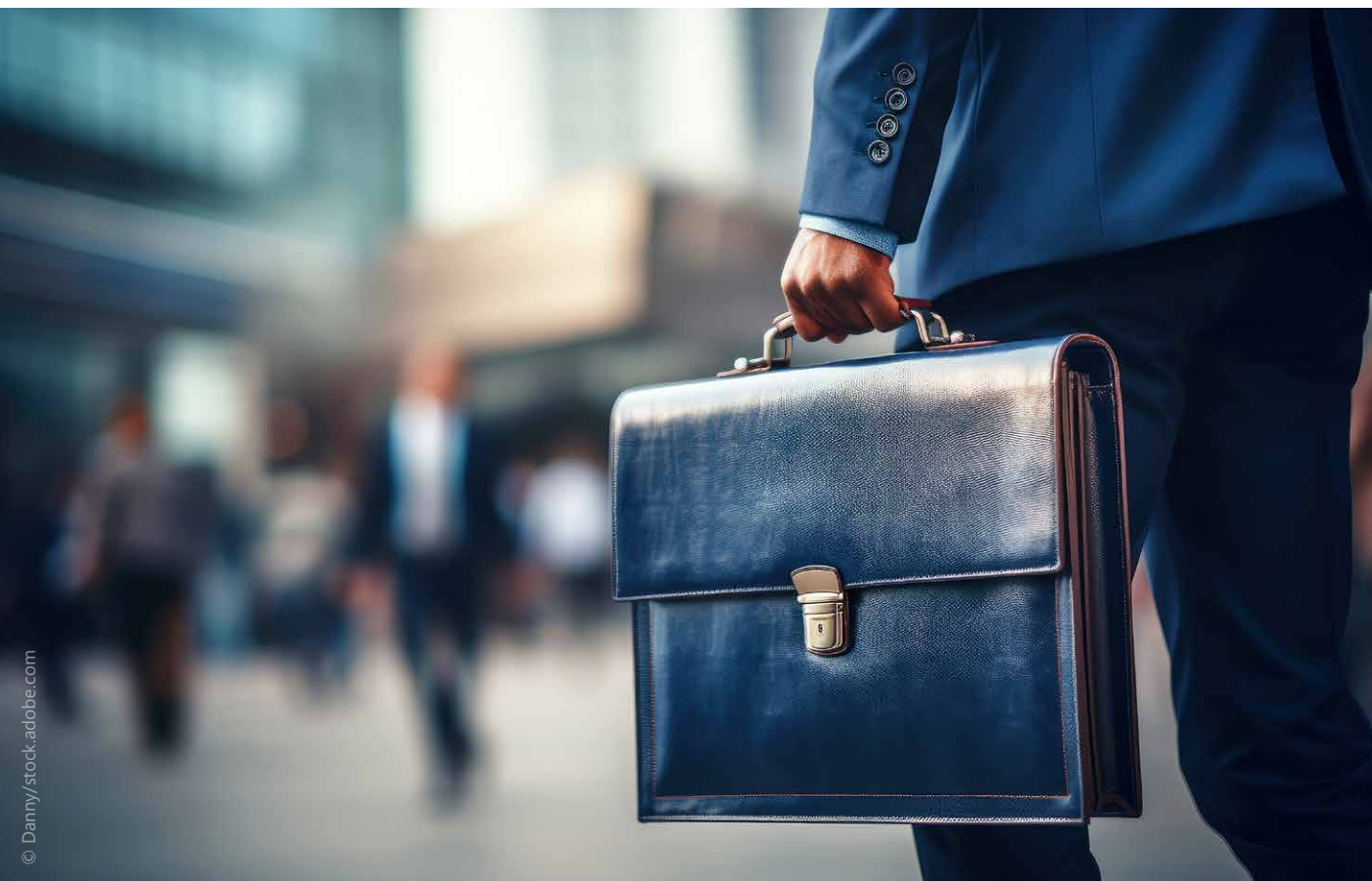
**Figure 9: Offer types and prohibitions since 2020**



Source: BaFin

# Money laundering prevention

## IV



## 1 New bases of supervisory practice

### **BaFin updates Interpretation and Application Guidance on the German Money Laundering Act (*Auslegungs- und Anwendungshinweise zum Geldwäschegesetz*)**

On 29 November 2024, BaFin published the updated General Section of the Interpretation and Application Guidance on the German Money Laundering Act (*Geldwäschegesetz*). This information is aimed at all obliged entities supervised by BaFin under this Act. The publication was preceded by an extensive public consultation. The updated version contains details on the supervisory expectations as well as significant

changes, including shorter maximum intervals for the periodic updates to customer information and guidance on the risk categorisation of customers following a suspicious transaction report.

### **Guidance from the FIU and BaFin on suspicious transaction reports**

Also on 29 November 2024, BaFin and the Financial Intelligence Unit (FIU) published joint guidance on the terms “without undue delay” and “completeness” in connection with suspicious transaction reports under section 43 of the Money Laundering Act. This guidance

is intended to help obliged entities better understand these terms and is based on the updated General Section of the Interpretation and Application Guidance on the German Money Laundering Act as well as the FIU's General Requirements for Describing the Facts (Financial Sector).

#### **Adoption of the EU anti-money laundering package**

The new European package of anti-money laundering (AML) provisions was adopted on 24 April 2024. The main supervisory requirements for obliged entities regarding the prevention of money laundering and terrorist financing will in future be defined in the new AML Regulation. In addition to the AML Regulation, the package also includes the sixth AML Directive and the AMLA Regulation, which establishes the new European Authority for Anti-Money Laundering and Countering the Financing of Terrorism (AMLA).

The new rules and, in particular, the future cooperation with AMLA are increasing the demands on BaFin in terms of data and digitalisation. BaFin will soon collect and process more data from obliged entities. For this

reason, BaFin launched various projects in 2024 to implement these requirements.

#### **Application of the Funds Transfer Regulation**

The amended Funds Transfer Regulation (Regulation (EU) 2023/1113) adopted by European lawmakers in 2023 has been applicable since 30 December 2024. This means that providers of crypto-asset services, for example, are now required to collect, transmit and store data such as the name and distributed ledger address of the originator when they carry out crypto-asset transfers for their customers.

#### **Changes from the Financial Market Digitisation Act**

The German Financial Market Digitisation Act (Finanzmarktdigitalisierungsgesetz), enacted on 27 December 2024, adapted the Money Laundering Act to the now fully applicable European Markets in Crypto-Assets Regulation (Regulation (EU) 2023/1114, MiCAR) and Funds Transfer Regulation. One new feature of the Money Laundering Act is the obligation to conduct enhanced due diligence procedures for crypto-asset transfers from or to self-hosted addresses.

## 2 National and international cooperation

#### **Guidance on suspicious transaction reports**

BaFin continued cooperating closely with the FIU in 2024, developing further joint guidance on suspicious transaction reports (see page 55).

#### **Event on the fight against human trafficking**

BaFin continued its participation in the Anti Financial Crime Alliance (AFCA), the German public-private partnership for combating financial crime. On 11 June 2024, BaFin hosted an AFCA event titled "Fighting Human Trafficking – Together!". Experts from Germany and abroad as well as representatives of obliged entities discussed various aspects of human trafficking and the

financing behind it. The aim was to raise awareness of the topic among obliged entities and to share experiences.

#### **Close collaboration on the EU anti-money laundering package**

A defining feature of 2024 was the cooperation surrounding the aforementioned European anti-money laundering package. BaFin was involved in the preparations for the new EU supervisory regime, including in the drafting of numerous delegated acts. To this end, BaFin also held a roundtable discussion with companies from the financial sector.

## 3 Statistics on automated account information access procedures

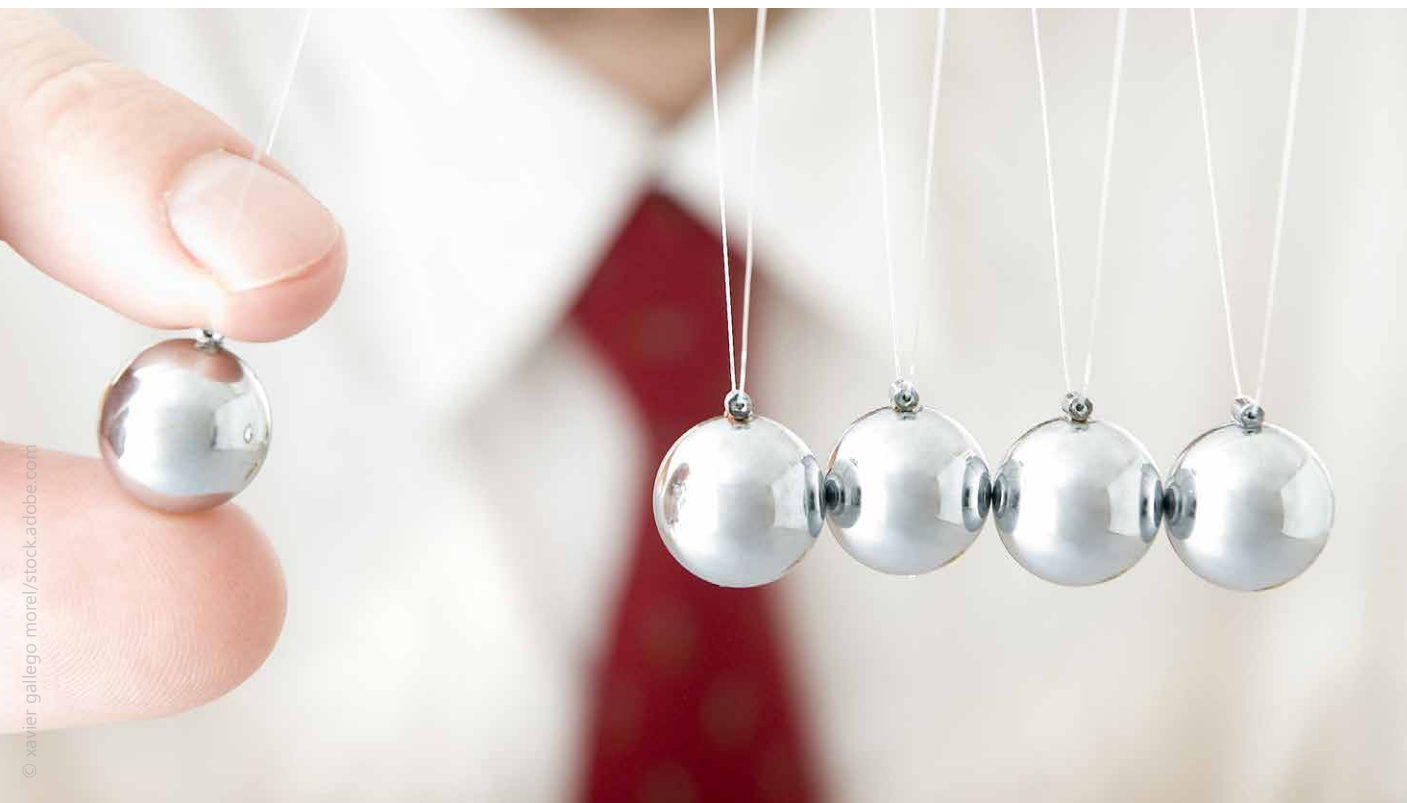
Credit institutions, asset managers and payment institutions are required to store certain account master data and provide daily updates. BaFin provides other authorities with information from the account

information access file on request. Table 29, page 57, provides an overview of automated account information access procedures in 2024.

**Table 29: Automated account information access procedures**

| Recipient           | 2024     |       | 2023     |      |
|---------------------|----------|-------|----------|------|
|                     | absolute | in %  | absolute | in % |
| BaFin               | 709      | 0.15  | 577      | 0.1  |
| Tax authorities     | 18,375   | 3.78  | 18,318   | 4.3  |
| Police authorities  | 392,902  | 80.90 | 349,531  | 80.9 |
| Public prosecutors  | 54,079   | 11.13 | 46,912   | 10.8 |
| Customs authorities | 18,448   | 3.80  | 15,683   | 3.6  |
| Other               | 1,165    | 0.24  | 822      | 0.2  |
| <b>Total</b>        | 485,678  |       | 431,843  |      |

Source: BaFin



## 1 New bases for resolution

### **BaFin operationalises legal requirements for resolution planning**

In 2024, BaFin continued to participate in a number of working groups run by the Financial Stability Board (FSB), the European Banking Authority (EBA) and the Single Resolution Board (SRB). The primary goal was to further develop international standards for resolution planning alongside the methods and processes used in the Single Resolution Mechanism (SRM).

As a national resolution authority, BaFin submitted for public consultation the second version of its [Circular](#) on minimum requirements for structural resolution tools (*MaStrukturelle Abwicklungsinstrumente*). The Circular was expanded above all with regard to requirements for a standardised data model for transfers to a buyer, bridge institution or asset management

company. In publishing the Circular, BaFin has finalised its interpretation of the statutory requirements for resolution planning by less significant institutions (LSIs).

### **Guidance Notice on the external implementation of a bail-in expanded**

In addition, BaFin expanded the [Guidance Notice](#) on the external implementation of a bail-in (*Merkblatt zur externen Bail-in-Implementierung*) to implement the requirements of the Guidelines [EBA/GL/2023/01](#) issued by the European Banking Authority. The Guidance Notice is addressed to LSIs and significant institutions. BaFin also repealed Circular 08/2021 (A). This was because, from November 2024, minimum requirements for own funds and eligible liabilities (MREL) no longer need to be stipulated for institutions whose resolution plan provides for insolvency proceedings (liquidation units).



## At a glance

## Who is responsible?

### 1 Resolution in the banking union

Two bodies are responsible for resolution under the Single Resolution Mechanism (SRM):

#### **BaFin – the national resolution authority**

In its capacity as a national resolution authority, BaFin is responsible for those German institutions that have been classified by the European Central Bank (ECB) as less significant institutions (LSIs). It is also responsible as a resolution authority for financial market infrastructures with banking licences and for central counterparties with and without banking licences.

#### **The Single Resolution Board (SRB)**

In contrast to BaFin, the SRB is only responsible for the resolution of credit institutions within the SRM that are subject to the European Capital Requirements Regulation. This includes the following:

- institutions that the ECB has classified as significant institutions (SIs),
- cross-border LSIs, and
- LSIs for which responsibility has been transferred to the SRB

The SRB has established Internal Resolution Teams (IRTs) for each institution or group of institutions for which it is responsible. The SRB and the relevant competent national resolution authorities work together within these teams. BaFin took part in 34 IRTs in 2024.

BaFin's core task as a national resolution authority, and that of the IRTs, is to enhance institutions' resolvability. Resolution plans are prepared and updated annually to facilitate this. In addition, the impediments to a potential resolution and ways to overcome these are assessed.

### 2 Resolution in the European Union and cooperation with third-country authorities

The SRB and/or the national resolution authorities establish resolution colleges to co-ordinate collaboration between different resolution authorities in the banking union, in the EU and in third countries. These colleges are used wherever affected groups are active beyond the banking union's borders in at least one other Member State of the European Union. BaFin took part in 21 resolution colleges in 2024.

Crisis Management Groups (CMGs) are set up for all institutions that have been classified as global systemically important banks (G-SIBs) by the **Financial Stability Board (FSB)**. In 2024, 29 institutions around the world were classified as G-SIBs, 21 of which had operations in Germany. All in all, BaFin collaborated in a total of 16 CMGs in 2024.

## 2 Resolution planning

#### **BaFin participates in the SRM's Internal Resolution Teams**

During the 2024 resolution planning cycle, BaFin's staff participated in 34 Internal Resolution Teams (IRTs) that had been established by the Single Resolution Board (SRB). Of these IRTs, 18 related to groups of institutions in Germany and 16 to groups of institutions abroad (see info box entitled "Who is responsible?").

Since February 2024 the "Vision 2028" has shaped the work of the SRB within the SRM. It defines the new strategic goals. In order to further improve the

resolvability of institutions, the focus of resolution planning has shifted from the preparation of plans to testing. BaFin is therefore working intensively in the SRB to create the methodology for this.

To prepare for bail-ins, BaFin carried out comprehensive test runs for ten German SRB banks in 2024. The focus was on the provision of data under real-time conditions and on the impact of bail-ins on the institutions' balance sheets, regulatory ratios and taxes. Data-driven test runs were performed for a further ten German SRB banks.

Improving authorities' crisis resilience was another key focus in 2024. The SRB and BaFin carried out a joint crisis simulation for this purpose.

#### **BaFin strengthens resolvability of German institutions**

In the 2024 planning cycle, BaFin was responsible for resolution planning for 1,212 institutions and groups of institutions domiciled in Germany. Together with the institutions, BaFin worked on improving resolvability. This work was based on the [Circular](#) on minimum requirements for resolvability within the scope of resolution planning.

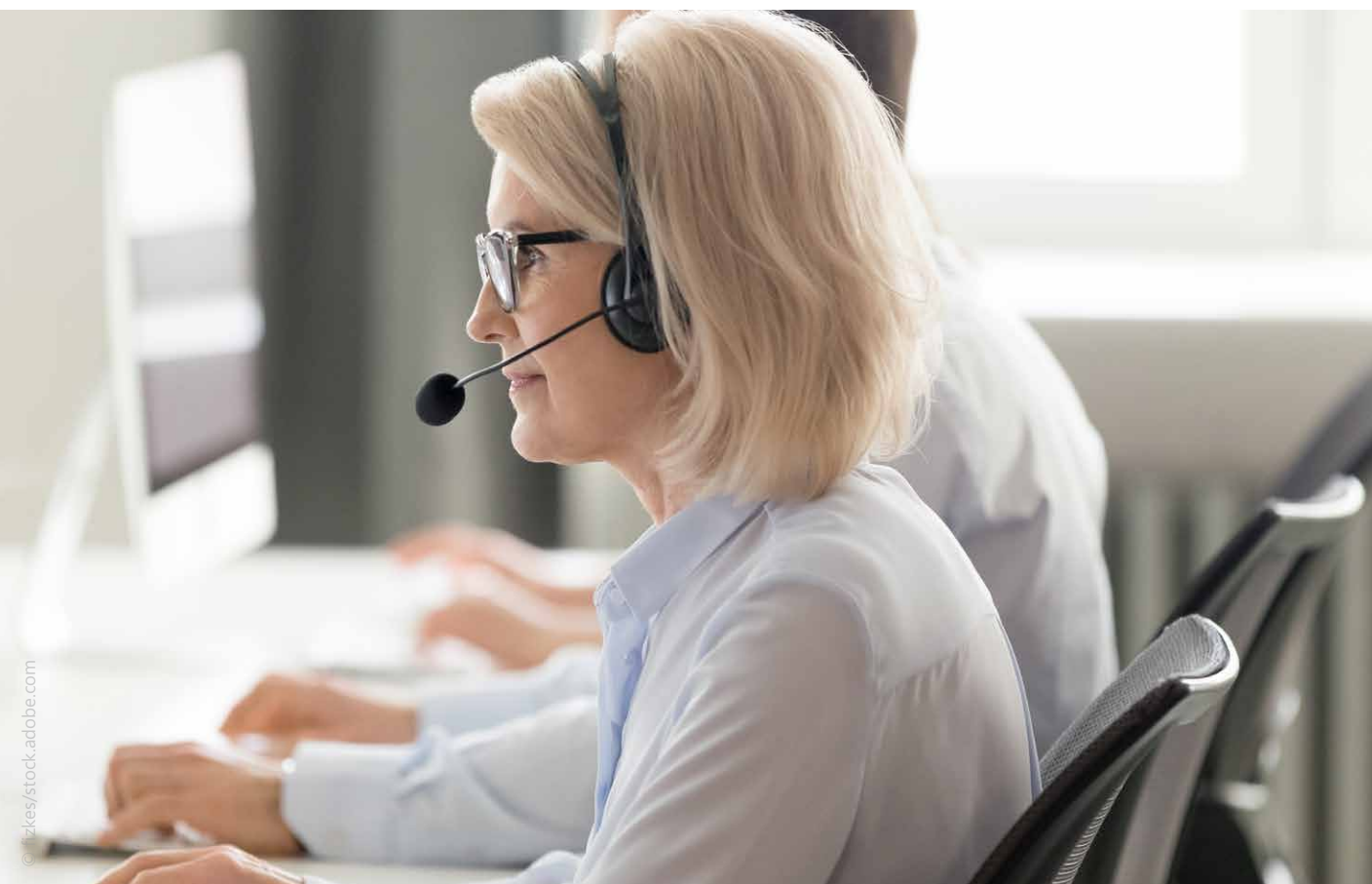
In 2024, BaFin for the first time carried out on-site visits at LSIs in order to take a particularly close look at selected aspects of resolvability and ensure that the resolution plans can be implemented in practice. This was due to the European requirements regarding the transition from resolution planning to multi-year testing.

#### **Bank levy**

As at 31 December 2024, the "build-up" phase of the financing mechanism for resolution was completed. At the national level, this was achieved by the Restructuring Fund for institutions and at the European level by the Single Resolution Fund, which was completed on 31 December 2023. With the bank levy, BaFin has succeeded in creating a permanent resource for the fund, enabling it to apply resolution tools effectively.

# Contact Point for Whistleblowers and Market Contact Group

# VI



## 1 Contact Point for Whistleblowers

At the beginning of 2024, BaFin established a new online form for its Contact Point for Whistleblowers, to complement its whistleblowing platform BKMS (Business Keeper Monitoring System). The form ensures that whistleblowing reports submitted to BaFin include all information that is relevant to the processing of reports under the German Whistleblower Protection Act (Hinweisgeberschutzgesetz). Of particular interest

are the description of the offence, the information as to whether the offence happened in the direct context of the whistleblower's work, and the supervisory areas concerned in the report. Persons who obtain their information in a professional context benefit in particular from the higher level of protection granted under the Whistleblower Protection Act.

In 2024, the Contact Point for Whistleblowers received 1,141 submissions (previous year: 1,379). Around 40% of the reports related to information obtained in a professional context. The Contact Point for Whistleblowers forwarded 988 reports to divisions for operational supervision, who carried out factual analyses in 714 cases. In 343 of these cases, BaFin then took more

far-reaching measures at the companies concerned. These measures included requests for information, special inspections and market abuse investigations. 83 reports were forwarded to other authorities, such as the Federal Office of Justice (*Bundesamt für Justiz*) or the Federal Central Tax Office (*Bundeszentralamt für Steuern*).

## 2 Market Contact Group

The Market Contact Group (MCG) serves as a point of contact for persons with particular market expertise who would like to provide BaFin with valuable information for its supervisory activities. The MCG received

223 submissions in the reporting year (previous year: 176). These reports above all concerned the topics of market manipulation, unauthorised business and identity fraud.



## 1 Appointments

On 1 January 2024, insurance expert Julia Wiens took over as Chief Executive Director of Insurance and Pension Funds Supervision at BaFin. Her predecessor, Dr Frank Grund, retired at the end of 2023. On 11 December 2024, BaFin furthermore announced that Mark Branson's contract as President of BaFin had

been extended ahead of schedule to 2029 and that risk management expert Nikolas Speer would take over as Chief Executive Director of Banking Supervision on 1 April 2025. His predecessor Raimund Röseler retires at the end of March 2025.

## 2 Human resources

A total of 2,996 employees worked for BaFin as at 31 December 2024 (see Table 30 on page 64). BaFin recruited 191 new members of staff during the year. The majority were graduates in economics, law, administrative studies, natural sciences and information technology.

At the end of the year, 39 employees were on long-term assignment to international institutions and supervisory authorities. 10 of them were working temporarily as delegates to the European Central Bank (ECB).

**Table 30: BaFin employees in 2024**

| Career level                                                                           | Employees    |              |              | of whom<br>civil servants | of whom<br>public service<br>employees |
|----------------------------------------------------------------------------------------|--------------|--------------|--------------|---------------------------|----------------------------------------|
|                                                                                        | Total        | Women        | Men          |                           |                                        |
| Higher civil service                                                                   | 1,572        | 671          | 901          | 1,357                     | 215                                    |
| Higher intermediate civil service                                                      | 891          | 410          | 481          | 706                       | 185                                    |
| Intermediate/basic civil service                                                       | 533          | 370          | 163          | 195                       | 338                                    |
| <b>Total</b>                                                                           | <b>2,996</b> | <b>1,451</b> | <b>1,545</b> | <b>2,258</b>              | <b>738</b>                             |
| of whom in Bonn                                                                        | 2,029        | 983          | 1,046        | 1,562                     | 467                                    |
| of whom in Frankfurt                                                                   | 967          | 468          | 499          | 696                       | 271                                    |
| of whom candidates for the higher<br>intermediate civil service/vocational<br>trainees | 36           | 22           | 14           | 16                        | 20                                     |

Source: BaFin

**Human resources: Recruit. Retain. Develop.**

BaFin's work in the area of human resources is guided by the motto "Recruit. Retain. Develop." Despite the general shortage of skilled labour, BaFin succeeded in filling its advertised positions in 2024 – including IT positions. 191 dedicated colleagues started work at BaFin's offices in Bonn and Frankfurt. The opportunity to make a meaningful contribution to the stability of the financial system is one reason for BaFin's attractiveness as an employer.

Alongside graduates in law, business studies, mathematics and informatics, BaFin also employed colleagues with backgrounds in history, psychology and sociology. It became clear that this form of diversity helps BaFin to successfully master its wide range of tasks. BaFin firmly believes that a variety of perspectives

and experiences form the basis for innovation, as well as sustainable and efficient supervision.

In 2024, a particular focus was placed on the "Leadership Campus" programme for BaFin's managerial staff. The programme comprises three pillars: preparation for managerial duties, onboarding of new managers and further development of existing management skills.

In order to support specialised careers and to build up further specialist knowledge, BaFin has been providing support since 2024 for employees who study part-time and obtain university degrees. The focus of a new graduate programme is on generalists: graduates systematically rotate through different departments at BaFin to ensure their versatility later on.

## 3 Budget

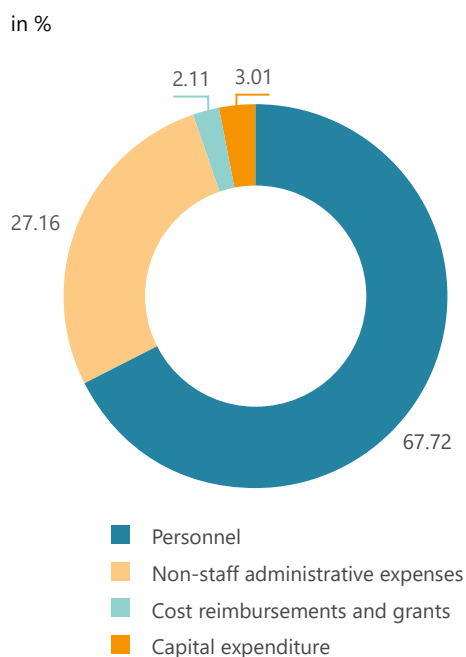
BaFin's budget for 2024 provided for income and expenditure of €528.9 million. Figure 10 on page 65 provides a breakdown of what the funds were spent on.

Total planned expenditure was thus €11.8 million higher than in the previous year. This difference was primarily attributable to the collective wage agreement in the public sector and small inflationary effects in the non-staff budget.

**Financing through cost allocations and fees**

BaFin finances itself in full from its own income; it is independent of the federal budget. The projected total income primarily consisted of cost allocations levied on supervised institutions in the amount of €506.3 million. Additional income in the amount of €22.6 million was primarily derived from fees.



**Figure 10: Breakdown of planned expenditure**

Source: BaFin

**Final cost allocation for 2023**

Final cost allocations are always made in the following year. Banks and other financial services providers accounted for 45.4% of total income from the cost allocation in 2023. The insurance sector contributed 25.6% and the securities trading sector 21.2%. 5.4% of the total cost allocation was attributable to resolution. Financial reporting enforcement accounted for 2.5%.

**Actual expenditure and income**

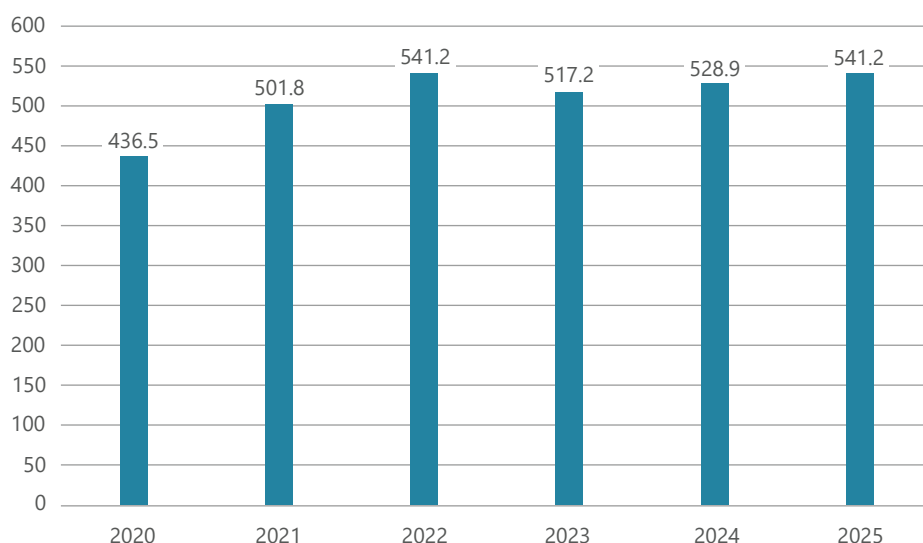
BaFin's actual expenditure in 2024 was approximately €514.1 million (previous year: €482.6 million). BaFin therefore spent roughly €14.8 million less than had been planned. Reasons for this included the fact that funds that had been set aside as a precaution for resolution cases in the banking sector did not need to be used.

By contrast, income amounted to roughly €535 million (previous year: €517.7 million). This was €6.1 million more than was budgeted since a portion of the prior-year surplus funds was not reimbursed to the entities subject to cost allocation until 2025.<sup>19</sup>

**Budget for 2025**

The budget for 2025 was prepared and approved in 2024. It provides for income and expenditure of €541.2 million (see Figure 11). This means that the planned level of expenditure is €12.3 million higher than in 2024. This increase is due in particular to increasing personnel expenses following an expected collective wage agreement and new hires, in addition to inflationary effects in the non-staff budget.

<sup>19</sup> At the time of publication, BaFin's Administrative Council had not yet resolved to adopt the 2024 annual financial statements.

**Figure 11: Budget (in million euros)**

Source: BaFin

## 4 Communication

### Public relations and social media

The appointment of the first special representative for consumer protection was covered in detail in BaFin's public relations work and on its social media channels. The same applies to the arrival of Julia Wiens, who has been Chief Executive Director of Insurance and Pension Funds Supervision at BaFin since January 2024. The focus was also on measures relating to unauthorised financial transactions by Reichsbürger (proponents of the "citizens of the Reich" movement) and against crypto fraudsters. A further focus was the media coverage of supervisory activities in the case of insolvencies and difficulties, for example in the real estate sector, and BaFin's intervention in cases of inadequate precautions against money laundering and terrorist financing.

BaFin's media work also focused on measures it had taken to ensure the proper business organisation of regional banks. BaFin increased its activities on Instagram in order to strengthen its presence in the area of collective consumer protection and to promote consumers' financial knowledge.

In 2024, BaFin made around 400 posts on its social media channels and published 17 press releases. It also hosted two large press conferences.

### Events

In 2024, BaFin hosted 11 external events – as both online and in-person events. The aim was to provide supervised entities with information on current and future supervisory topics. In addition, the events served to facilitate information-sharing with financial sector companies and with other authorities and institutions in Germany and abroad.

A series of digital events on the Digital Operational Resilience Act (DORA) and the first Financial Reporting Enforcement and Corporate Reporting Forum were new in 2024. In September, BaFin hosted a conference to mark the tenth anniversary of the Single Supervisory Mechanism (SSM). Alongside the above-mentioned events, BaFin also continued to host established events such as the Annual Insurance Supervision Conference, the Forum on Financial Crime, the Conference on IT Supervision and the Symposium on Combating Money Laundering and Terrorist Financing.

When organising its events, BaFin applies the Guidelines on Sustainable Event Organisation. This is part of the Sustainability Measures Programme by the Federal Government for the Federal Administration.

### Website and speeches

In 54 speeches and 23 panel discussions, BaFin's President and the other members of the Executive Board detailed important developments relating to BaFin and the financial sector. Selected speeches are available on the BaFin website.

In 2024, BaFin also published 44 expert articles, opinion pieces and interviews on its website. In addition, BaFin published numerous notifications about unauthorised business activities, measures and sanctions, and consumer protection topics. One focus in 2024 was the numerous articles and interviews about DORA. BaFin's communication on its website regarding DORA formed part of a large information campaign and was closely linked with numerous posts on BaFin's social media channels and with the series of digital events described above.

A key publication in 2024 was once again the "Risks in BaFin's Focus". In it, BaFin addresses the risks that pose the greatest threats to the stability and the integrity of the financial markets in Germany. It also details the measures taken to mitigate these risks. In its Annual Report published in 2024, BaFin provides an overview of its work in the previous year.

Together with the German National Association of Senior Citizens' Organisations (*Bundesarbeitsgemeinschaft der Senioren-Organisationen* – BAGSO), BaFin published three editions of the short publication "*Finanzen. Information. Tipps.*" (Finance.Information.Tipps.). The aim is to provide older people with appropriate information on various financial topics.

# Appendix

## Memoranda of Understanding (MoUs) in 2024

| Banking Supervision    |      | Banking Supervision       |      | Banking Supervision      |      |
|------------------------|------|---------------------------|------|--------------------------|------|
| Albania                | 2012 | Kosovo                    | 2011 | USA (Fed Board/OCC/FDIC) | 2006 |
| Argentina              | 2001 | Latvia                    | 2000 | USA (NYSBD)              | 2002 |
| Armenia                | 2011 | Lithuania                 | 2001 | USA (SEC)                | 2007 |
| Australia              | 2005 | Luxembourg                | 1993 | Vatican                  | 2014 |
| Austria                | 2000 | Macedonia                 | 2011 | Vietnam                  | 2010 |
| Belgium                | 1993 | Malta                     | 2004 |                          |      |
| Bosnia and Herzegovina | 2016 | Mexico                    | 2010 | Securities Supervision   |      |
| Brazil                 | 2006 | Moldova                   | 2014 | Argentina                | 1998 |
| Canada                 | 2004 | Netherlands               | 1993 | Australia                | 1998 |
| China                  | 2004 | Nicaragua                 | 2011 | Brazil                   | 1999 |
| Croatia                | 2008 | Norway                    | 1995 | China                    | 2019 |
| Czech Republic         | 2003 | Philippines               | 2007 | Croatia                  | 2008 |
| Denmark                | 1993 | Poland                    | 2008 | Cyprus                   | 2003 |
| Dubai                  | 2006 | Portugal                  | 1996 | Czech Republic           | 1998 |
| El Salvador            | 2011 | Qatar                     | 2008 | Dubai                    | 2006 |
| Estonia                | 2002 | Romania                   | 2003 | France                   | 1996 |
| Finland                | 1995 | Russia                    | 2006 | Guernsey                 | 2011 |
| France                 | 1992 | Serbia                    | 2011 | Hong Kong                | 2018 |
| Georgia                | 2011 | Singapore                 | 2009 | Hungary                  | 1998 |
| Greece                 | 1993 | Slovakia                  | 2002 | Iran                     | 2016 |
| Guernsey               | 2011 | Slovenia                  | 2001 | Israel                   | 2017 |
| Hong Kong              | 2004 | South Africa              | 2004 | Italy                    | 1997 |
| Hungary                | 2000 | Spain                     | 1993 | Japan                    | 2019 |
| India                  | 2013 | Sweden                    | 1995 | Jersey                   | 2012 |
| Ireland                | 1993 | Turkey                    | 2011 | Korea                    | 2010 |
| Italy (BI)             | 1993 | United Kingdom (BE/FSA)   | 1995 | Lebanon                  | 2016 |
| Japan                  | 2019 | United Kingdom (BSC)      | 1995 | Luxembourg               | 2004 |
| Jersey                 | 2012 | United Kingdom (PRA/FCA)  | 2019 | Malta                    | 2004 |
| Korea                  | 2006 | United Kingdom (SIB/SROs) | 1995 | Monaco                   | 2009 |

**Securities Supervision**

|                      |      |
|----------------------|------|
| Ontario (Canada)     | 2019 |
| Poland               | 1999 |
| Portugal             | 1998 |
| Qatar                | 2008 |
| Quebec (Canada)      | 2003 |
| Russia               | 2009 |
| Singapore            | 2000 |
| Slovakia             | 2004 |
| South Africa         | 2001 |
| Spain                | 1997 |
| Taiwan               | 1997 |
| Turkey               | 2000 |
| United Arab Emirates | 2008 |
| USA (CFTC)           | 1997 |
| USA (SEC)            | 2007 |
| Vatican              | 2014 |

**Insurance Supervision**

|                   |      |
|-------------------|------|
| Australia         | 2005 |
| California (USA)  | 2007 |
| Canada            | 2004 |
| China             | 2001 |
| Connecticut (USA) | 2011 |
| Croatia           | 2008 |
| Czech Republic    | 2002 |
| Dubai             | 2006 |
| Egypt             | 2010 |
| Estonia           | 2002 |
| Florida (USA)     | 2009 |
| Georgia (USA)     | 2012 |
| Guernsey          | 2011 |
| Hong Kong         | 2008 |
| Hungary           | 2002 |
| Japan             | 2019 |
| Jersey            | 2012 |
| Korea             | 2006 |
| Latvia            | 2002 |
| Lithuania         | 2003 |
| Malta             | 2004 |
| Maryland (USA)    | 2009 |
| Minnesota (USA)   | 2009 |
| Nebraska (USA)    | 2007 |
| New Jersey (USA)  | 2009 |
| New York (USA)    | 2008 |
| Qatar             | 2008 |
| Romania           | 2004 |
| Singapore         | 2009 |
| Slovakia          | 2001 |
| Thailand          | 2010 |
| Vatican           | 2014 |

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## Publication details

### **Published by**

Federal Financial Supervisory Authority (Bundesanstalt  
für Finanzdienstleistungsaufsicht – BaFin)  
Directorate K (Communications)

Graurheindorfer Straße 108 | 53117 Bonn  
Marie-Curie-Straße 24–28 | 60439 Frankfurt am Main

Phone: +49(0)228 41 08-0  
Website: [www.bafin.de](http://www.bafin.de)  
E-mail: [poststelle@bafin.de](mailto:poststelle@bafin.de)

Bonn and Frankfurt am Main | May 2025  
ISSN 1611-910X

**Editorial deadline:** 31 December 2024

### **Editing**

Directorate K (Communications)

### **Design**

werksfarbe konzept + design

### **Typesetting**

Naumilkat – Agentur für Kommunikation und Design